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November 8, 2010

To: Members of the Executive Board

From: The Secretary

Subject: **Grenada—First Review Under the Extended Credit Facility, Request for Modification of Performance Criteria, and Financing Assurances Review**

Attached for consideration by the Executive Directors is a paper on the first review under the Extended Credit Facility for Grenada and its request for modification of performance criteria, and the financing assurances review, which is tentatively scheduled for discussion on **Friday, November 19, 2010**. A draft decision appears on pages 19–21. Unless an objection from the authorities of Grenada is received prior to the conclusion of the Board's consideration, the document will be published. Any requests for modifications for publication are expected to be received two days before the Board concludes its consideration.

Questions may be referred to Ms. Thacker (ext. 37464), Ms. Magnusson Bernard (ext. 37398), and Ms. Guscina (ext. 34836) in WHD.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Tuesday, November 16, 2010; and to the Caribbean Development Bank and the European Commission, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

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INTERNATIONAL MONETARY FUND

GRENADA

First Review Under the Extended Credit Facility, Request for Modification of Performance Criteria, and Financing Assurances Review

Prepared by Western Hemisphere Department
(In consultation with other departments)

Approved by Rodrigo Valdés and Jan Kees Martijn

November 5, 2010

EXECUTIVE SUMMARY

- **Context:** The recovery from last year's significant output contraction is yet to take hold, with no growth expected for 2010. Inflation has temporarily increased with the introduction of the Value Added Tax (VAT) while the external current account deficit has declined but remains high. Credit growth is muted, and NPL rates have increased moderately. Despite this difficult environment, there has been significant progress in fiscal consolidation. The effects of the collapse of the Trinidad and Tobago-based CL Financial Group have yet to be resolved and remain high on the agenda.
- **Arrangement:** The current Extended Credit Facility (ECF) arrangement was approved by the Executive Board on April 2, 2010 with access equivalent to 75 percent of Grenada's quota (SDR 8.775 million). The program is a successor of a 3-year ECF for 140 percent of quota. The completion of the first review, based on end-June performance criteria, would release a disbursement of SDR 1.25 million.
- **Program performance:** All quantitative targets for end-June were met. The authorities also met all the structural benchmarks agreed under the program.
- **Discussions:** The authorities were in broad agreement with staff's assessment and policy recommendations. Staff recommended continuous focus on fiscal consolidation to put the debt trajectory on a sustainable path, a continuing regional strategy to deal with the fallout from the CL Financial Group collapse, and further efforts in the structural reform area to improve the business climate. The authorities and staff also agreed that should the authorities wish to move ahead with the recent application to borrow from the Export-Import Bank of China, its strategy would need to be consistent with its debt sustainability objectives and commitments under the ECF program.
- **Mission:** A mission visited St. George's during September 20–28, 2010 and met with Minister of Finance Burke, Permanent Secretary Antoine, other senior officials, members of the opposition, labor unions, and financial and private sector representatives. The mission comprised Ms. Thacker (Head), Ms. Guscina, Magnusson Bernard (all WHD), and Ms. Kaltani (SPR). ECCB and CDB staff also participated and Mr. Medina-Navarro (EU) attended the concluding meeting. Mr. McGoldrick (OED) joined the last two days of meetings.

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I. INTRODUCTION

1. **Grenada has been hard hit by the global crisis.** Following positive but modest growth in 2007 and 2008, the economy shrank by 7.7 percent in 2009. The effects of the global slowdown were concentrated in the two most important sectors of the economy, tourism and FDI-financed construction, which are dependent on developments in advanced countries. In addition, the collapse of the Trinidad and Tobago-based CL Financial Group has heightened financial sector uncertainty.
2. **To mitigate the impact of the crisis, an ECF arrangement was approved by the Executive Board on April 2, 2010, with access equivalent to 75 percent of Grenada's quota (US\$ 13.3 million).** The program is a successor to a 3-year ECF for 140 percent of quota, which expired in April.¹

II. RECENT DEVELOPMENTS AND OUTLOOK

3. **The recovery from last year's significant output contraction is yet to take place.** While the manufacturing sector performed well during the first half of 2010, and there are some promising signs in the agriculture sector notwithstanding the drought in the first half of the year, the two key sectors—tourism and construction—continue to be hard hit by the lack of a firm recovery in the U.S. and Europe. Tourist arrivals continued to decline, falling by 9.4 percent through the first half of the year compared with the same period in 2009, while construction activity declined by 15.9 percent during the same period, although the pace of decline has slowed.
4. **While domestic demand and labor markets remain weak, efforts are being made to cushion the blow to employment.** Retail sales (in real terms) fell 13.2 percent during the first half of 2010 compared to the same period in 2009, but are thought to have bottomed out. Labor demand remains subdued, with the number of new registrants into the compulsory National Insurance Scheme (NIS) down 16 percent for the first six months of 2010 compared to the corresponding period in 2009. Private sector employers are trying to use the options for shortening hours and cutting nominal pay allowed under their collective agreements to avoid outright firing of workers. Despite these measures, unemployment is thought to have increased to around 35 percent, a ten percentage point hike compared to 2008.
5. **The external current account deficit narrowed to 27 percent of GDP, largely reflecting a decline in FDI-related imports.** With most FDI-related construction activity on hold, lower construction-related imports outweighed the drop in tourism receipts and income.

¹ The arrangement was initially under the Poverty Reduction and Growth Facility (PRGF) and was renamed an arrangement under the Extended Credit Facility (ECF) on January 7, 2010.

As a result, the current account deficit narrowed in 2009. In addition, the weak domestic demand has weighed on imports. Private sector inflows (FDI and other investments) are financing the deficit. Nominal and real effective exchange rates were at their pre-crisis levels in September 2010.

6. **Inflation increased to 6.3 percent (y/y) in September, reflecting a combination of factors.** The one-off price effects from the introduction of VAT on February 1, 2010 combined with the pass-through from higher international fuel and food prices compared to last year contributed to the pickup in prices. Retail fuel prices continue to be adjusted in line with international price changes, with a four-week lag.

7. **Private sector credit has remained flat throughout the year, while non-performing loans (NPLs) might not yet have peaked.** Private sector credit grew by 4.4 percent (y/y) at end-August, compared to 4.5 percent (y/y) at end-2009. While deposits grew by 3.5 percent (y/y) in August, this largely reflects savings by institutional investors due to new regulations on statutory funds for insurance companies. Broad money growth still remains very low at 0.3 percent (y/y) at end-August. The ratio of NPLs to total loans remained at 5.9 percent at end-June, the same as at end-December 2009, although this includes significant restructuring of loans by commercial banks. While headline capital adequacy ratios remain well above prudential guidelines, the decline in provisioning is a concern.

8. **Significant progress was made on fiscal consolidation through the first half of the year.** Revenue collection for the first half of 2010 somewhat exceeded expectations due to better-than-projected performance of income and property taxes. Grant disbursements were faster than expected. On the expenditure side, planned savings on goods and services did not materialize (partly reflecting higher-than-expected fuel prices) but this was offset by containing transfers and subsidies and limiting capital outlays. As a result, the primary deficit (excluding grants) was smaller than the adjusted target for end-June under the program. The fiscal stance is aligned for a 4 percent of GDP improvement in the overall deficit in 2010 in comparison to 2009. In order to limit the negative impact of fiscal consolidation on growth, the authorities announced some temporary tax exemptions in September (see below).²

9. **The authorities have applied for a loan of US\$115 million (17.8 percent of GDP) from Export-Import Bank of China (EXIM-China), to prevent losing the option of obtaining this loan.** The terms of the loan, as stated by the authorities, appear to suggest a

² Some temporary exemptions were given on hotel accommodation, selected building materials, and imports of commercial vehicles. The estimated cost of these measures is about 0.1 percent of GDP in foregone revenues in 2010 and 2011. In addition, the government also eliminated VAT on all textbooks and on service charges in the hotel sector (total yield from these two taxes is estimated at 0.13 percent of GDP in 2010).

grant element of about 40-45 percent. The authorities' aim is to eventually use the loan as a catalyst to attract private sector participation to build a luxury hotel to promote Grenada as a high-end tourist destination. The authorities have also recently signed a non-concessional loan of about US\$18.5 million (2.9 percent of GDP) with Kuwait and OPEC to complete the second phase of an agriculture feeder road project.

10. **The collapse of the Trinidad and Tobago-based CL Financial Group will have fiscal costs, but they are expected to be limited.** On BAICO, which was declared insolvent last year, the ECCU governments continue to work on a regional solution. The transfer of the property portfolio for BAICO is complete. The establishment of a Medical Insurance Fund to cover outstanding BAICO health insurance claims by policyholders in Grenada is expected to be launched in early November. The new company to take over BAICO's ECCU operations has not yet been established, due to lack of identifiable resources for its capitalization.³ There has been little progress on a resolution strategy for CLICO; ECCU governments are awaiting a decision by the Barbados government, where the parent company is located.

11. **The recovery is expected to remain weak in the near-term, with risks tilted to the downside.** While the pace of decline in the tourism and construction sectors is expected to moderate compared to 2009, economic activity is expected to remain flat this year.⁴ Credit growth is expected to remain slow in the coming months as most banks have tightened lending standards. Moreover, there are significant downside risks to the recovery stemming from the still uncertain outlook in the developed countries, the major source of tourism and FDI for Grenada. A weaker recovery and continued high unemployment could also threaten fiscal consolidation by increasing spending pressures on the government. Fiscal costs for the resolution of BAICO/CLICO remain another source of risk, although ECCU governments are committed to limit these given their tight fiscal positions and the already high debt levels in many cases. Finally, the large fiscal and financial sector challenges in other ECCU countries could pose spillover risks.

III. PERFORMANCE UNDER THE PROGRAM

12. **All program-related quantitative performance criteria for end-June were met.** Close monitoring and quarterly budget reviews instituted under the program were useful in helping to achieve the targets:

- The target for the primary balance excluding grants (measured from below the line) was met by a margin of EC\$7.4 million (0.4 percent of GDP);

³ The authorities are seeking support from Trinidad and Tobago but so far it has not been forthcoming.

⁴ The ECCB is expected to announce revised GDP numbers for all the ECCU countries which are expected to be 20–30 percent higher than the current figures (see box).

Upcoming Revisions to GDP and CPI

Rebased GDP and CPI series are expected to be launched in the coming weeks, and are expected to show a significant increase in economic activity over the last decade. The authorities have been working with CARTAC (Caribbean Regional Technical Assistance Centre) to rebase the constant price GDP to base year 2006. The main preliminary result is that the level of Grenada's current price GDP will increase annually in the 20–25 percent range over the period 2000–2007. Real economic growth over the same period will be revised upwards from 13 to 26 percent, since deflators have also changed due to improvements in the volume estimate methodologies.

Four economic activities account for the bulk of the upward shift in GDP. New and transparent compilation methods together with the new base year resulted in significant increases in the nominal level and real growth for the construction, wholesale and retail trade, hotels and restaurants, real estate and housing sectors. For some activities such as manufacturing, transportation and other services, there were no methodological changes apart from the rebasing, although the authorities hope to improve the data collection for these activities in the future. St. George's University, accounting for over 10 percent of GVA, was reclassified from other services to education.

There will still be a considerable underestimation of total GDP after the revision, due to insufficient coverage of the service sector. After the reclassification of St. George's University, other services account for only 2 percent of GDP in 2007. Given that this activity should reflect most household and business services, the present estimate is widely regarded as too low and additional efforts to extend its coverage, including the use of VAT source data, remain a top priority. Moreover, since there are at present no firm plans to extend the calculations prior to 2000, there will be a break between 1999 and 2000 after the launch of the new series.

The revised CPI series will meet international standards. A new CPI basket, including several additional items, has been developed using data from the 2007/08 Household Income and Expenditure Survey (HIES), with a strong recommendation to conduct the HIES on a five-year cycle to ensure more timely future updates of the basket than the current ten-year period. Routines for processing collected price data have also been upgraded. The new series will be re-referenced to January 2010 and historical CPI series back to 2001 have been re-calculated based on the new structure.

- Domestic arrears older than 60 days were reduced by more than EC\$ 10 million during the first half of this year, meeting the end-June target by a margin of EC\$ 0.7 million (0.04 percent of GDP). However, the indicative target for September was missed by EC\$ 6 million, reflecting cash flow problems, but the authorities remain committed to reducing the arrears to meet the end-December program target;
- No new external loans were contracted and no external arrears were accumulated as of end-June.

Program Performance, end-June 2010

	Prog.	Adjusted	Actual	Margin	In percent of GDP	Status
<i>Performance Criteria:</i>						
(In millions of Eastern Caribbean dollars)						
Central government primary balance excluding grants (floor)	-34.8	-47.9	-40.5	7.4	0.42	Met
Stock of central government domestic arrears (ceiling)	15.0	15.0	14.3	0.7	0.04	Met
(In millions of U.S. dollars)						
Contracting and guaranteeing of nonconcessional external debt by the central government with maturity of at least one year (ceiling)	0.0	0.0	0.0	0.0	0.00	Met
Stock of external short term debt (ceiling)	11.9	11.9	0.0	11.9	0.68	Met
Contracting and guaranteeing of bilateral concessional external debt by the central government with maturity of at least one year (ceiling)	0.0	0.0	0.0	0.0	0.00	Met
Central government or guaranteed external arrears accumulation (ceiling)	0.0	0.0	0.0	0.0	0.00	Met
<i>Indicative Target:</i>						
(In millions of Eastern Caribbean dollars)						
Change in net credit of the banking system to the public sector (ceiling)	13.5	13.5	-11.6	25.1	1.44	Met

13. **The structural benchmarks under the program were also met.** As agreed under the program,

- Two quarterly budget reviews were conducted, at end-April and end-July, followed by the issuance of finance circulars to keep expenditures under control.
- The VAT unit was integrated as a new division in the Inland Revenue Department, and officers in the new division are carrying out VAT audits.
- An inventory of all the various government bank accounts has been completed and significant progress has been made in streamlining the number of accounts. By April of next year a Single Treasury Account System is expected to be established.
- With respect to the insurance sector, the Grenada Authority for the Regulation of Financial Institutions (GARFIN) has completed the on-site inspection of two insurance companies and worked closely with the insurance sector to set up statutory insurance funds. Most insurance companies have pledged the required assets and placed them in trust with GARFIN, but the administrative procedures of placing them in a trusteeship at banks are taking longer than expected. The process is expected to be completed by end-January 2011.

Status of Structural Benchmarks Under the Program

	Target Date	Status
Initiate quarterly budget reviews and revise spending targets for any shortfalls in revenues and/or financing, and institute regular meetings with line ministries (at least quarterly) to establish expenditure commitment controls	April 2010	Met
Establish an audit division for VAT audits	June 2010	Met
Enumerate all government bank accounts and define a schedule for consolidating them and establishing a Single Treasury Account System	September 2010	Met
Develop an action plan for social safety net reform	May 2010	Met
Complete onsite supervision of at least two insurance companies, and establish statutory funds at insurance companies to cover at least 50 percent of their assets (including the largest five companies) and pledge these assets in a Trusteeship to support their local insurance liabilities	October 2010	Met

IV. POLICY DISCUSSIONS

Policy discussions focused on policies to ensure fiscal and debt sustainability, financial system vulnerabilities, and the need to generate growth and employment.

A. Fiscal Policies and Debt Sustainability

Fiscal Stance for 2010

Further fiscal consolidation is planned for the rest of the year in line with the program to cement a clear downward path for the debt-to-GDP ratio. Revenues are expected to be lower in the second half of the year than in the first, reflecting lower customs revenues due in part to lower imports and a small impact from the recently announced tax exemptions. On the expenditure side, spending on goods and services has been revised up reflecting developments in the first half of the year, but these will be partially offset by lower spending on transfers while protecting the spending for vulnerable groups. Grants are expected to be higher than previously projected, reflecting the approval of the V-Flex facility by the European Union.⁵ Notwithstanding these developments, the primary deficit (excluding grants) is expected to decline from 7.9 percent of GDP in 2009 to 3.8 percent of GDP in 2010,

⁵ The EU recently approved €3.5 million in grants under the V-Flex facility. Grenada is among one of six countries (all PRGT eligible countries affected by the crisis are in theory eligible) that has received these resources for the second time. Last year Grenada received € 10 million under the same facility. The World Bank disbursed US\$8 million in July under the Development Policy Loan and the CDB is expected to disburse US\$6.4 million under the Policy Based Loan later this year.

broadly the same as envisaged in the program. Despite the temporary VAT exemptions for the tourism and construction sectors to stimulate the economy, the estimated fiscal impulse excluding interest payments is significantly negative for 2010, as opposed to the expansionary stance in 2009.

Fiscal Stance for 2011 and Medium-Term Fiscal Consolidation

14. **Authorities remain committed to further fiscal consolidation to ensure a declining debt trajectory.** The authorities are planning to adopt a three-year rolling budget framework, starting with the 2011 budget, to allow a more stable path for fiscal management. While the details of the multi-year budgets are being worked out, authorities agreed with staff that primary surpluses in the range of 2–2½ percent will be required over the medium term to ensure that the public debt-to-GDP ratio declines to the ECCB recommended target of 60 percent by 2020.⁶ However, given the difficult economic circumstances and the need to generate growth and employment, the adjustment will be phased in, as was agreed in the program. For 2011, the aim is to reduce the primary deficit (excluding grants) to 1.6 percent of GDP and to start generating surpluses from 2012 as the economy picks up. As a result, the fiscal impulse is expected to remain negative in the near-term. However, the authorities emphasized that generating growth also remains a key policy objective as this would allow a faster decline in the debt ratios and they are seeking donor assistance in this area.

15. **The fiscal adjustment will rely on a multi-pronged strategy.** On the revenue front, the objective is to improve the efficiency and compliance of tax collections⁷:

- **Limit tax exemptions.** The authorities argued that the recently announced tax exemptions, which were undertaken without consultation with the Fund, were necessary to prevent lay-offs and sustain domestic demand given the drag in external demand. However, they reiterated that these are only temporary as announced and no new exemptions were envisaged to ensure that program objectives are not undermined (see MEFP, paragraph 10). Accordingly, they plan to pass an amended VAT law to establish a legal basis for the announced exemptions, including the expiration dates for the temporary tax exemptions (proposed structural benchmark for the second review).
- **Improve VAT compliance.** Following the successful introduction of the VAT, the government will focus on improving compliance, including through taxpayer

⁶ The public-debt-to-GDP ratio of 60 percent is based on the current GDP numbers. Once GDP is revised, this will be adjusted to reflect the higher denominator: the focus remains on generating the same primary surpluses.

⁷ The market based property tax, initially scheduled to take effect from January 2011, has been delayed due to lack of funding for equipment and staff training, and the authorities are seeking donor assistance,

education and service programs to facilitate voluntary compliance with filing and payment requirements, and expediting the ongoing establishment of a single unique Tax Identification Number.

- **Improve customs collection.** The new Customs Act is expected to be passed before end-year. The pilot project for the upgraded customs technology platform (ASYCUDA World) and the introduction of risk-based inspections is expected to be completed by the first quarter of 2011. All ports are expected to be upgraded over the next two years. This will help to improve both the yield and efficiency of customs collection.⁸

Fiscal Developments in 2007-2011

	2007	2008	2009	2010		Proj.
	Actual	Actual	Actual	Program	Rev.	2011
Total revenue and grants	27.1	29.4	28.5	28.2	28.8	28.9
Revenue	26.0	25.4	24.4	24.3	24.0	25.3
Grants	1.0	4.1	4.1	3.9	4.8	3.6
Total expenditure	34.9	34.5	35.1	31.1	30.5	29.8
Current expenditure	21.4	22.8	25.6	23.5	23.2	22.3
Of which:						
Interest	2.1	2.1	2.8	3.3	2.8	2.9
Goods and Services	4.8	4.6	5.2	4.5	4.9	4.5
Transfers and subsidies	4.9	5.1	6.1	4.7	4.3	4.1
Capital Expenditures	13.5	11.7	9.5	7.6	7.4	7.5
Primary balance (excluding grants) 1/	-6.9	-7.0	-7.9	-3.6	-3.8	-1.6
Overall balance (including grants) 1/	-7.9	-5.1	-6.6	-2.9	-1.7	-0.9
Fiscal impulse (not including interest payments) 2/	-6.9	-0.5	1.7	-5.1	-5.4	-1.9
Public debt	111.0	102.2	122.3	...	118.9	117.9

Sources: Ministry of Finance; and Fund staff estimates and projections.

1/ Measured above the line.

2/ A negative (positive) number indicate a contractionary (expansionary) effect. Fiscal impulse is defined as a change in the cyclically-adjusted primary balance.

16. **On the expenditure side, the adoption of an Action Plan to improve the overall management and efficiency of spending combined with the following measures will help to generate savings (see MEFP paragraph 13):**

- **Improving public financial management.** The authorities are implementing an Action Plan based on the recently completed Public Expenditure and Financial Accountability (PEFA) assessment, with TA from CARTAC and other donors. It includes (i) a formal comprehensive commitment control system to ensure that

⁸ Implementing the pilot of the new customs technology platform (ASYCUDA World) at the main port and establishing a risk management unit and starting training staff are second review structural benchmarks (to be completed by end-March 2011). Implementing ASYCUDA World at two other ports is the proposed structural benchmark for the third review to be completed by end-October 2011.

spending units do not undertake commitments without authorization (this is currently being done through quarterly budget reviews followed by finance circulars to ministries to limit commitments as agreed under the program), (ii) steps to improve the cash management model, and (iii) a timeline for moving to a Single Treasury Account System (proposed structural benchmark for the second review). These reforms are expected to be completed over the next year and should help improve expenditure management and efficiency.

- **Limiting growth in the wage bill.** The authorities have been negotiating with trade unions to limit wage increases given the competing needs on the budget. In addition, they plan to contain the wage bill (Grenada's wage bill, both in terms of revenues and in terms of GDP, is among the highest in the region) by limiting the number of new hires, especially temporary staff which last year accounted for more than one percent of GDP in wage expenses, and to leave positions unfilled. In addition, the civil service review, with the assistance of the World Bank, could help to identify further savings.
- **Limiting capital spending.** For 2011, given the financing constraints and the need to protect spending for vulnerable groups, capital spending will remain focused on priority projects. The authorities agreed that shovel-ready projects that have secured financing available should take priority over new initiatives. This would help to avoid running up arrears while ensuring that essential projects, especially those that have the highest employment generation potential, are implemented; and
- **Improve efficiency of spending.** To reduce spending on goods and services, the authorities have set up a Waste Reduction Unit which should start functioning effectively by the end of the year. This unit is tasked to identify ways in which to reduce spending, especially on travel and communications. In addition, the Public Procurement Act is planned for passage by parliament by end-year and the Public Procurement Unit will be established by March 2011 (structural benchmark for the second review). This unit will try to generate savings through bulk procurement, including sole source contracts (for example, using one supplier across all ministries rather than each ministry acquiring what it needs). In addition, the Debt Management Unit is developing a debt management strategy (structural benchmark for the second review) that will help to identify cheaper sources of financing so as to reduce the cost of borrowing (see MEFP, paragraph 14).

17. **The program provides some flexibility given the continued fragile economic environment, including the uncertainty of a recovery in external demand and high domestic unemployment.** As before, program adjustors will accommodate all additional grants that may become available as well as concessional financing of up to an additional 2 percent of GDP on an annual basis. In addition, program adjustors would accommodate higher-than-programmed disbursements on existing donor-financed projects. The authorities have requested that the end-December performance criterion on non-concessional external

debt be adjusted to accommodate the loans from Kuwait and OPEC as completion of the feeder road project is essential to yield the planned benefits to the agricultural sector. Staff supports this request only as an exception to the normal zero ceiling on non-concessional borrowing in view of the project's significance in enhancing the potential of the agricultural sector and the fact that discontinuation of the project midway would undermine all potential benefits that the project was designed to have.

18. **The authorities plan to request debt relief from the Paris Club** (2.4 percent of total debt).⁹ While Fund and other donor financing is expected to close the financing gap in 2010 and the first half of 2011, additional financial support is projected to be needed during the rest of the program period. Staff's current estimates suggest a financing gap averaging approximately US\$6 million in 2011–13.¹⁰ Staff agreed to assist the authorities to approach the Paris Club for additional debt treatment in order to help close the medium-term financing gap (see MEFP, paragraph 18), especially as this would help them to seek comparable terms from other external creditors covering an additional 8.6 percent of GDP. The authorities also continue to pursue good faith efforts to reach a collaborative agreement with Grenada's external commercial creditors that did not participate in the 2005 debt exchange, on terms comparable to the original exchange.¹¹

19. **Discussions on the EXIM-China loan focused on the need to ensure that it does not undermine fiscal and debt sustainability.** The authorities concurred with staff on the risks of taking on such a large loan, given Grenada's high debt level and the uncertain global outlook. Staff also pointed out the inherent conflict between the authorities desire to reduce debt, including by seeking debt relief from the Paris Club and other external creditors, while taking on the burden of such a big loan. The authorities reiterated their commitment to confirm the viability of the project by an internationally reputed third party and to limit their exposure to a minority share, as agreed under the ECF program. In addition, the authorities have committed, to update their debt sustainability analysis (DSA), in consultation with Fund staff, to examine the implications of such borrowing on debt vulnerability and ensure that this does not jeopardize debt sustainability and the objective of reducing debt in line with ECCB guidelines.

⁹ Grenada is eligible to seek further debt treatment under the Evian approach.

¹⁰ This assumes WB and CDB financing, without these estimates suggest the financing gap would be between \$14–16 million.

¹¹ Participation in the 2005 debt exchange was high at 93 percent for external creditors. Taking into account creditors that came forward subsequent to the 2005 debt exchange, the participation rate is approximately 96 percent, and it is likely to reach 100 percent once Cabinet approves the terms of the debt exchange for some non-participating creditors that have come forward recently. Fund's lending into arrears criteria has been met.

20. **The Debt Sustainability Analysis (DSA) continues to show that Grenada is at risk of high external debt distress, the same as in the previous DSA.**¹² Based on Grenada's average CPIA rating of "medium" the thresholds for the present value (PV) of external debt to GDP and to exports are 40 and 150 percent, respectively. In 2011, these ratios are projected at 89.3 and 304.7, respectively (a couple of percentages of GDP higher compared to the previous DSA reflecting the new loan for the agriculture feeder road project) and are projected to fall below the thresholds only in 2024 and 2020, respectively. In terms of debt service ratios, debt service to exports although currently below the 20 percent threshold will rise in 2012 and stay above the threshold for the period of analysis. However, the debt service to revenue ratio remains below the threshold of 35 percent throughout the entire period. There are important risks to the debt outlook coming from the loan from EXIM-China, which would exacerbate further the breaches of the DSA thresholds and would jeopardize the underlying objective of reaching the ECCB recommended target of 60 percent by 2020. The existing program limits do not accommodate this loan.

B. Financial Sector Vulnerabilities

Banking Sector

21. **The authorities and staff agreed on the need to closely monitor banking sector developments.** The restructuring of NPLs to prevent delinquencies is a cause for concern as not only does it mask the true deterioration in the loan portfolio but also may not be sustainable going forward if the economy does not improve. In addition, liquid assets to total assets at 21 percent, although in line with prudential regulations, have declined by 2 percentage points in the last six months, as have provisioning ratios.

C. Non-Banking Financial Sector

22. **Progress on resolving the fallout from the collapse of the CL Financial Group remains slow.** A ministerial sub-committee is working with interested strategic partners to set up a new company to take over BAICO's ECCU operations. ECCU governments have agreed to inject US\$75 million in the new company, but uncertainty about the contribution of Trinidad and Tobago is complicating negotiations. In addition, the authorities together with their regional partners will limit the fiscal costs through revision of existing terms, including lowering of interest rates, extending tenors, and converting some liabilities into equity. Meanwhile, most institutional investors have started to provision, with some beginning to book the losses against their liabilities to BAICO and CLICO. However, some small credit unions and the building and loan society, whose balance sheets are weak, are said to be having difficulties in provisioning. GARFIN is attempting to enhance monitoring of these

¹² EBS/10/57, Supplement 1.

institutions and expects that the small credit unions will merge with some of their bigger brethren.

23. **The government is continuing its efforts to improve the supervision of the nonbank financial sector.** The new Money Services Act passed last year and the new Insurance Act enacted earlier this year have been important in reinforcing GARFIN's supervisory role. A new Cooperatives Societies Act has been submitted to parliament and is expected to be enacted by early-2011. On-site inspections of two small, but weak, insurance companies were completed. In parallel, offsite supervision is also being maintained, particularly of the large and systematically important companies. To further strengthen the nonbank financial sector, the authorities plan to:

- Complete on-site inspection of two additional insurance companies by end-March 2011, including one that is systemically important (structural benchmark for second review). All insurance companies will continue to be monitored through periodic off-site inspection.
- Complete the on-site inspection of the money services company (structural benchmark for second review).
- Conduct off-site and on-site supervision of credit unions and building societies, including closely monitoring the effects of the expected write-offs of the sector's estimated exposure to BAICO and CLICO.
- Continue to build the capacity of GARFIN through participation of its staff in regional training initiatives.
- Liquidation of Capital Bank is still pending in the absence of court permission. While the authorities' November 2008 petition to the High Court for the liquidation of Capital Bank has not been acted upon due to challenges by the bank's owner, it will proceed as soon as Court permission is granted. No associated fiscal costs are expected.

24. **The authorities are continuing their efforts to comply with the internationally agreed standards aimed at reducing tax evasion in international financial centers.** Thirteen Tax Information Exchange Agreements (TIEAs) have been concluded so far, putting Grenada on the OECD's "white list". The authorities are aiming to sign two additional TIEAs by end-2010. The authorities are also planning to undertake a study to gauge the prospects for this sector. The mission advised that given the small size of this sector, and the enhanced supervisory standards now required, further development of this sector may not be cost effective.

D. Structural Reforms

25. **The authorities agreed with the mission that the private sector remains key to sustainable growth, and further improvements in the business climate are needed to unlock its potential.** Progress to date includes a reduction in the number of days it takes to start a business from 20 to 11 days. In addition, simplified procedures for property registration and the establishment of a separate land registry have been put in place during the last year. Contract enforcement is expected to be improved by the appointment of an additional judge to assist with the backlog of court cases. The authorities are also working on decreasing the number of steps needed to obtain construction permits.

26. **While staff agreed on the need for diversifying growth sectors, it emphasized the need to let the private sector take the lead and the importance of lowering labor costs to improve competitiveness.** There has been some investment in the agri-business sector, including establishment of a small factory to manufacture nutmeg-related products by a local investor. The government has also undertaken a study on how spillovers from St. George's University to the rest of the economy can be improved; this is of added importance as a complement to the highly cyclical construction and tourism sectors. In this context, staff noted that the competitor-based real exchange rate has been trending up modestly and that Grenada has lost regional tourism market share in the last years. The authorities are considering participating in the building of a luxury hotel to boost Grenada's potential as a high-end tourism destination. Staff however underscored the need to let the private sector take the lead given the government's financing constraints and the high level of debt.

27. **The authorities are working to enhance the efficiency of social assistance.** A Social Safety Net Committee has been set up to spearhead reforms to better target the needs of vulnerable groups and streamline social assistance programs. A social protection policy is expected to be in place by mid-2011. By end-2011 the authorities expect to complete the following with World Bank assistance:

- consolidating cash transfer programs;
- establishing an integrated grant unit; and
- developing selection criteria for beneficiaries and effective functional targeting mechanisms.

28. **A full Poverty Reduction Strategy Paper (PRSP) is being prepared.** The Country Poverty Assessment in combination with the National Strategic Development Plan will form the basis of the PRSP, which is being developed with the help of CDB-funded consultants. While the full PRSP is being finalized, the authorities intend to put in place a quarterly indicator of spending on the three major cash transfer programs, which constitute the bulk of social spending. Once the PRSP is in place in 2011, this indicator will be revised to reflect

priority spending areas and it will become an indicative target for the program (see MEFP, paragraph 26).

V. PROGRAM ISSUES

29. **The Attached Letter of Intent and accompanying Supplementary Memorandum of Economic Policies outline the authorities' policy objectives for the remainder of 2010 and 2011.** Quantitative performance criteria for end-December 2010 and end-June 2011 and structural measures are shown in Tables 1 and 2 in Appendix 2. Table 1 also includes a modification reflecting the authorities' request that non-concessional borrowing limit for end-December 2010 be increased to accommodate the recently contracted loan from Kuwait and OPEC.

30. **The authorities are strongly committed to the program, but implementation risks remain.** If the economic recovery stalls, it could result in revenue shortfalls and difficulties in reigning in spending. While the authorities agree with staff's views on the conditions under which the EXIM-China loan could be compatible with program requirements, there is also a risk that a lack of economic recovery and reluctance of the private sector to take on risks may result in a suboptimal solution with the authorities taking a majority stake in the venture.

31. **The authorities intend to discuss further debt relief from their bilateral creditors.** The authorities plan to request a stock treatment of their debt from the Paris Club (2.4 percent of total debt) and to ask non-Paris Club official bilateral creditors for similar treatment (8.6 percent of total debt). This could help to close the small financing gap projected for the second half of next year. In the absence of such debt relief, the authorities agreed to take additional measures to be discussed during the mission for the second review.

VI. STAFF APPRAISAL

32. **Grenada's economic activity shows few signs of a recovery.** High debt levels, in combination with the regional currency board arrangement, constrained possible policy responses to the crisis. In addition, the collapse of the CL Financial group heightened financial sector uncertainty and will likely entail some fiscal costs.

33. **Staff welcomed the authorities' success in meeting all the program targets, notwithstanding the difficult circumstances.** All the quantitative performance criteria and all structural benchmarks for the first review were also met. With the help of quarterly budget reviews the authorities successfully contained spending to meet both the fiscal targets for the primary balance excluding grants and the reduction of domestic arrears. They also met all the structural benchmarks under the program, both on the fiscal and financial fronts.

34. **That the government proceeded with the introduction of a VAT notwithstanding stiff resistance is an indication of its commitment to structural reforms.** Staff underscored the importance of ensuring that the recent temporal tax

exemptions are not extended and urged the authorities to boost compliance to ensure that revenues are not undermined. Staff also urged the authorities to submit the new Customs Act to parliament and move expeditiously with establishment of the ASYCUDA World and risk-based audits at customs ports.

35. **Staff commended the authorities for their resolve to pursue fiscal consolidation to put debt on a declining path.** The adoption of a three-year rolling budget starting from the 2011 budget will promote more stable fiscal management and provide an anchor for expectations. In this context, staff urged the authorities to improve the management and efficiency of spending, including through the passage of the Public Procurement Act. Staff also welcomed the continuation of quarterly budget reviews to ensure that annual targets are achieved to ensure the debt ratio trajectory on a downward path.

36. **While recognizing the need for stimulating growth, staff expressed strong reservations about the loan from the EXIM-China.** Staff appreciated the need to undertake projects that generate both employment and growth, but clearly expressed its reservations regarding such a massive project and the concentration of risks this would imply, especially given the country's already high debt level, the risks to debt sustainability, and the significant downside risks to the global recovery. In this context, staff acknowledged the authorities' commitment to ensure that the loan is concessional, and that the decision to embark on the project will be based on a thorough objective assessment of its economic and financial returns from an internationally reputed third party, and that the private sector will have a majority stake in the project.

37. **Some modest deterioration in banking sector soundness indicators underscores the need to monitor developments carefully.** While non-performing loans have remained stable since last year, it underestimates the true underlying problems with the loan portfolio given the restructuring of several of these loans. With economic activity still sluggish and unemployment persistently high, downside risks remain dominant and delinquencies could very well increase. In this context, the decline in provisioning ratios is also of concern.

38. **Staff welcomed the progress in enhancing supervision of insurance companies and urged the authorities to carefully monitor financial sector vulnerabilities.** GARFIN made commendable progress in the last six months and completed the on-site inspection of two small, but weak, insurance companies and plans to embark on on-site inspection of a large, systemically important insurance company. Statutory funds have also been pledged by most insurance companies and now cover more than half of the liabilities of the sector. With respect to the two failed insurance companies, BAICO and CLICO, staff welcomed the close cooperation among regional governments to address the fallout jointly. However, staff urged the authorities to limit fiscal costs by revising existing terms of the deposit-like instruments, including through lowering of interest rates, extending tenors, and converting of some liabilities into equity. The government should proceed directly to liquidation of Capital Bank as soon as the court permits.

39. **Staff welcomed the authorities' efforts to encourage private sector-led growth, including by seeking strategic investors.** The establishment of a separate land registry and appointment of a new judge to expedite the backlog of existing court cases are welcome steps. More recently, authorities' efforts to seek strategic investors, including both domestic and international ones, are steps in the right direction.

40. **Staff welcomed the government's decision to improve the social safety net.** Streamlining and better targeting will help to ensure that vulnerable groups are covered. Staff also encouraged the completion of the full Poverty Reduction Strategy Paper as early as possible.

41. **The program is subject to a number of risks.** Financing of the external current account deficit, especially projected donor support and private inflows, is subject to some uncertainty. Despite the authorities' commitments, there are downside risks to the fiscal consolidation path. If the recovery stalls, the planned revenue improvements may not materialize and there could be increased pressures for further tax exemptions and spending. In addition, the fiscal costs related to the CL Financial Group and the large external borrowing under consideration, if it were to happen, could very well undermine the achievement of the debt objectives under the program. The limited implementation capacity could delay the completion of some reforms or give rise to slippages in data reporting.

42. **In view of the authorities' meeting all targets under the current ECF arrangement, and their strong commitment to the program, staff supports the authorities' request for completion of the first review, the modification of the performance criterion and the financing assurances review, notwithstanding the above mentioned risks.**

Proposed Decision

The following decision, which may be adopted by a majority of the votes cast, is proposed for adoption by the Executive Board:

First Review Under the ECF Arrangement, Modification of Performance Criteria, and Financing Assurances Review

1. Grenada has consulted with the Fund in accordance with paragraph 4.A(b) of the arrangement for Grenada under the Extended Credit Facility (ECF) (EBS/10/57, 3/25/10) (the “ECF Arrangement”) to review program implementation and financing assurances, and to reach understandings regarding the conditions for further disbursements during the second year of the ECF Arrangement.
2. The letter dated November 2, 2010 from the Minister for Finance (the “November 2010 Letter”) together with its Supplementary Memorandum of Economic and Financial Policies (the “November 2010 Memorandum”) and Technical Memorandum of Understanding (the “November 2010 TMU”) shall be attached to the ECF Arrangement for Grenada, and the letter dated March 23, 2010, from the Minister for Finance shall be read as supplemented and modified by the November 2010 Letter and its attachments.
3. Accordingly, the ECF Arrangement for Grenada shall be amended as follows:
 - a. A new paragraph 2(d) shall be included to read as follows:

“2(d) the fourth disbursement, in an amount equivalent to SDR 1.250 million, will be available on or after November 15, 2011, at the request of Grenada and subject to paragraphs 4 and 5 below;”

- b. Paragraph 4.A(a) shall be amended as follows:

The language “as set out in Table 1 of the MEFP and further specified in the TMU” shall be replaced with “as set out in Table 1 of the November 2010 Memorandum and further specified in the November 2010 TMU”.

- c. A new paragraph 4.B shall be included to read as follows:

“The fourth disbursement under this arrangement specified in paragraph 2(d) above:

- (a) if the Managing Director of the Trustee finds that with respect to the fourth disbursement, the data as of June 30, 2011, indicate that:

- (i) the floor on the central government primary balance excluding grants, or
- (ii) the ceiling on the stock of central government domestic arrears, or
- (iii) the ceiling on the contracting or guaranteeing of non-concessional external debt by the central government with maturity of at least one year, or
- (iv) the ceiling on the contracting or guaranteeing of bilateral concessional external debt by the central government with maturity of at least one year,

as set out in Table 1 of the November 2010 Memorandum and further specified in the November 2010 TMU was not observed; or

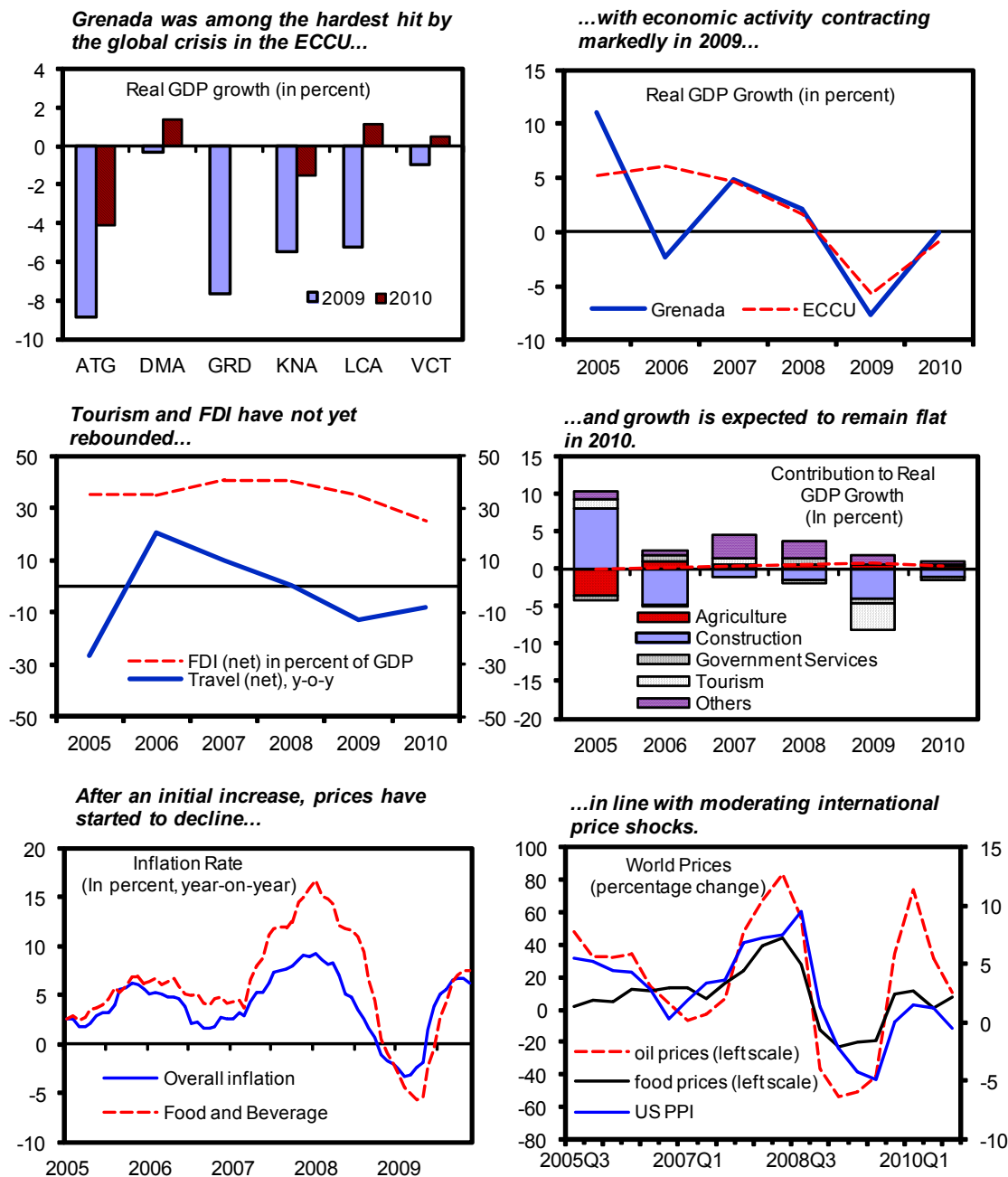
(b) until the Trustee has determined that, with respect to the fourth disbursement the third program review, referred to in paragraph 28 of the November 2010 Memorandum, has been completed.”

d. Paragraphs 5(a) and 5(b) shall be amended as follows:

In each paragraph, the words “as set out in Table 1 of the MEFP and further specified in the TMU” shall be deleted and replaced with “as specified in Table 1 of the November 2010 Memorandum, and further specified in the November 2010 TMU”.

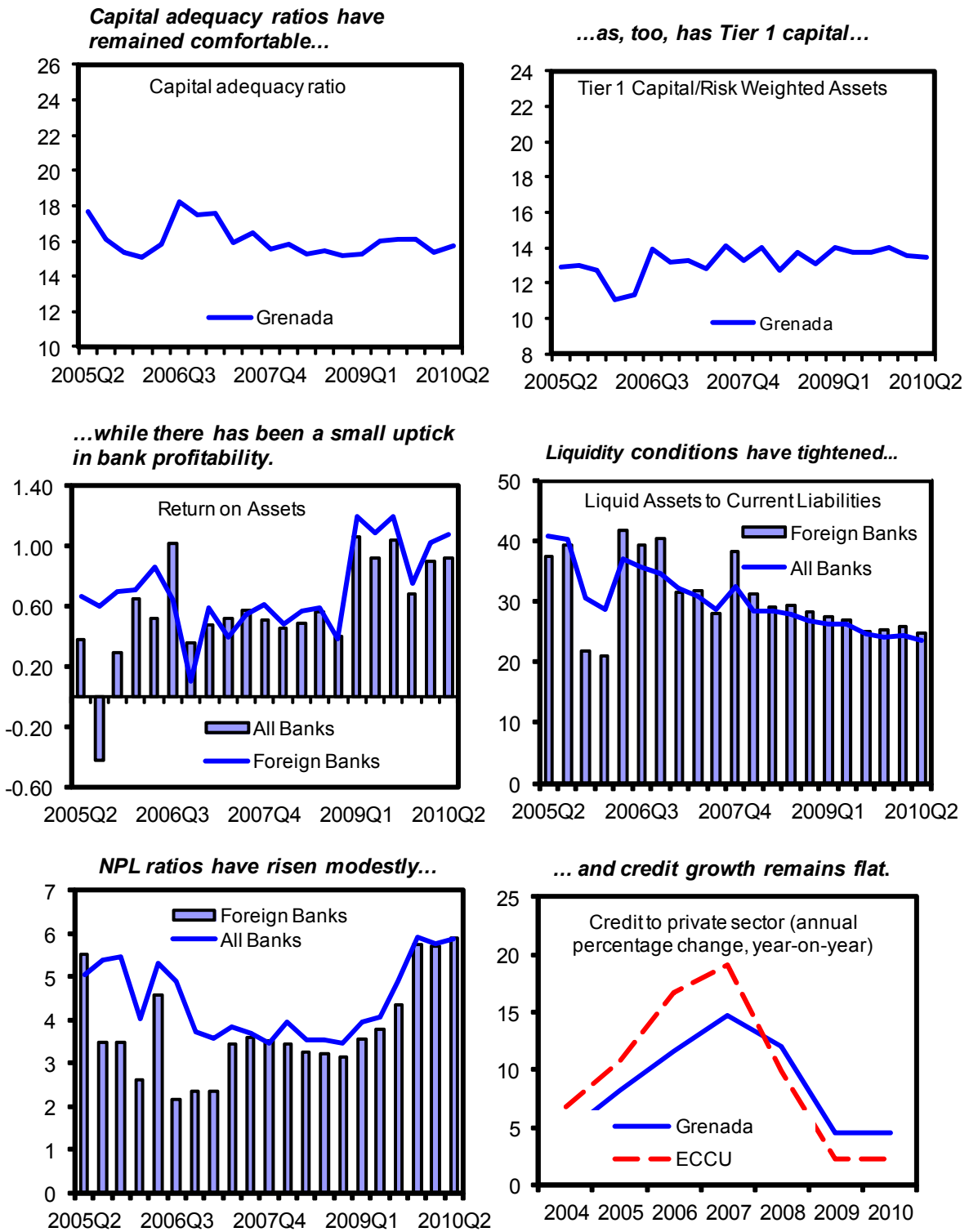
4. The Fund decides that the first review specified in paragraph 4.A(b), and the financing assurances review specified in paragraph 5(d), of the ECF Arrangement for Grenada are completed, and that Grenada may request the second disbursement.

Figure 1. Grenada: Growth and Inflation



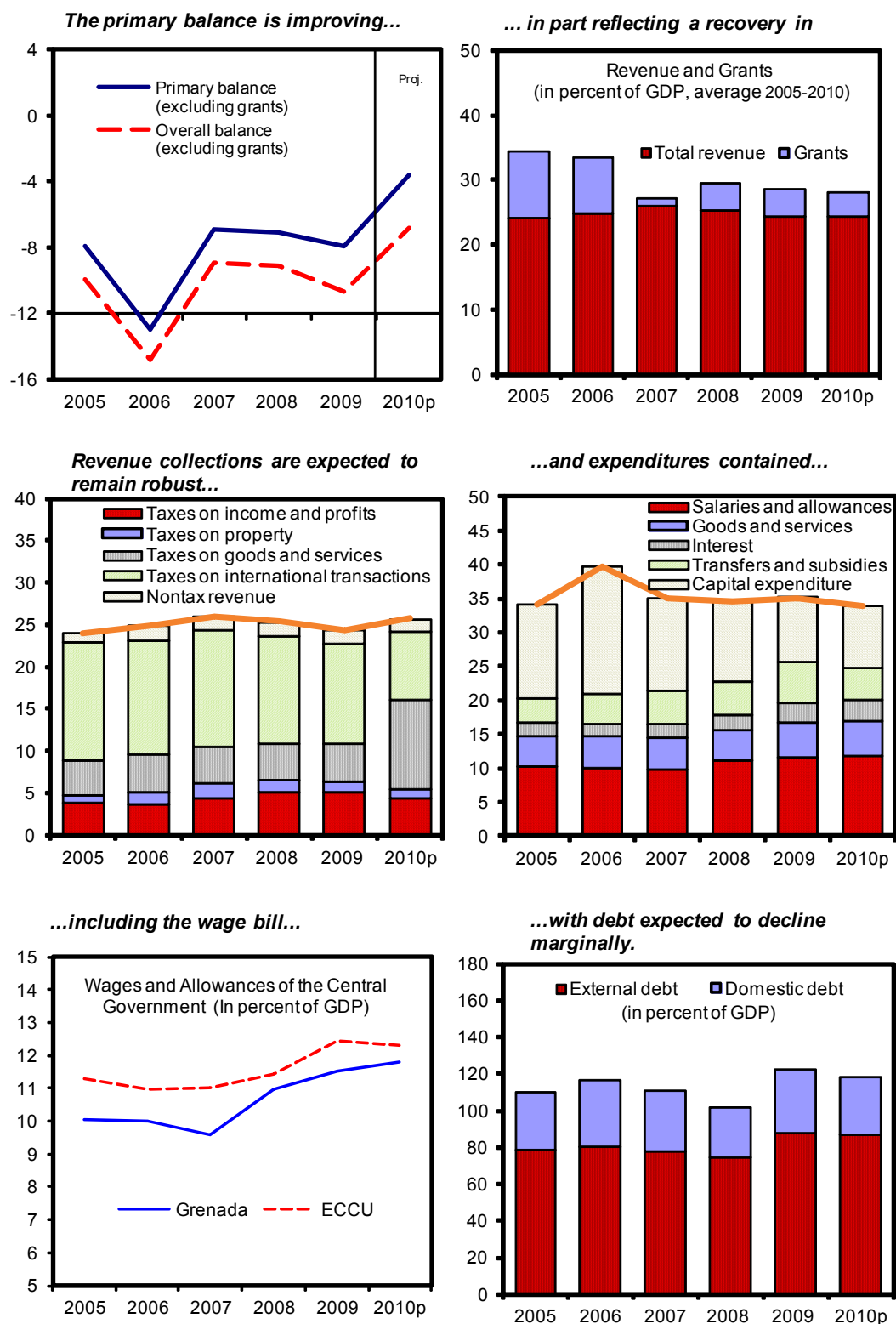
Sources: Grenada authorities; ECCB; IMF, International Financial Statistics; IMF, World Economic Outlook; and Fund staff calculations.

Figure 2. Grenada: Banking System Vulnerabilities



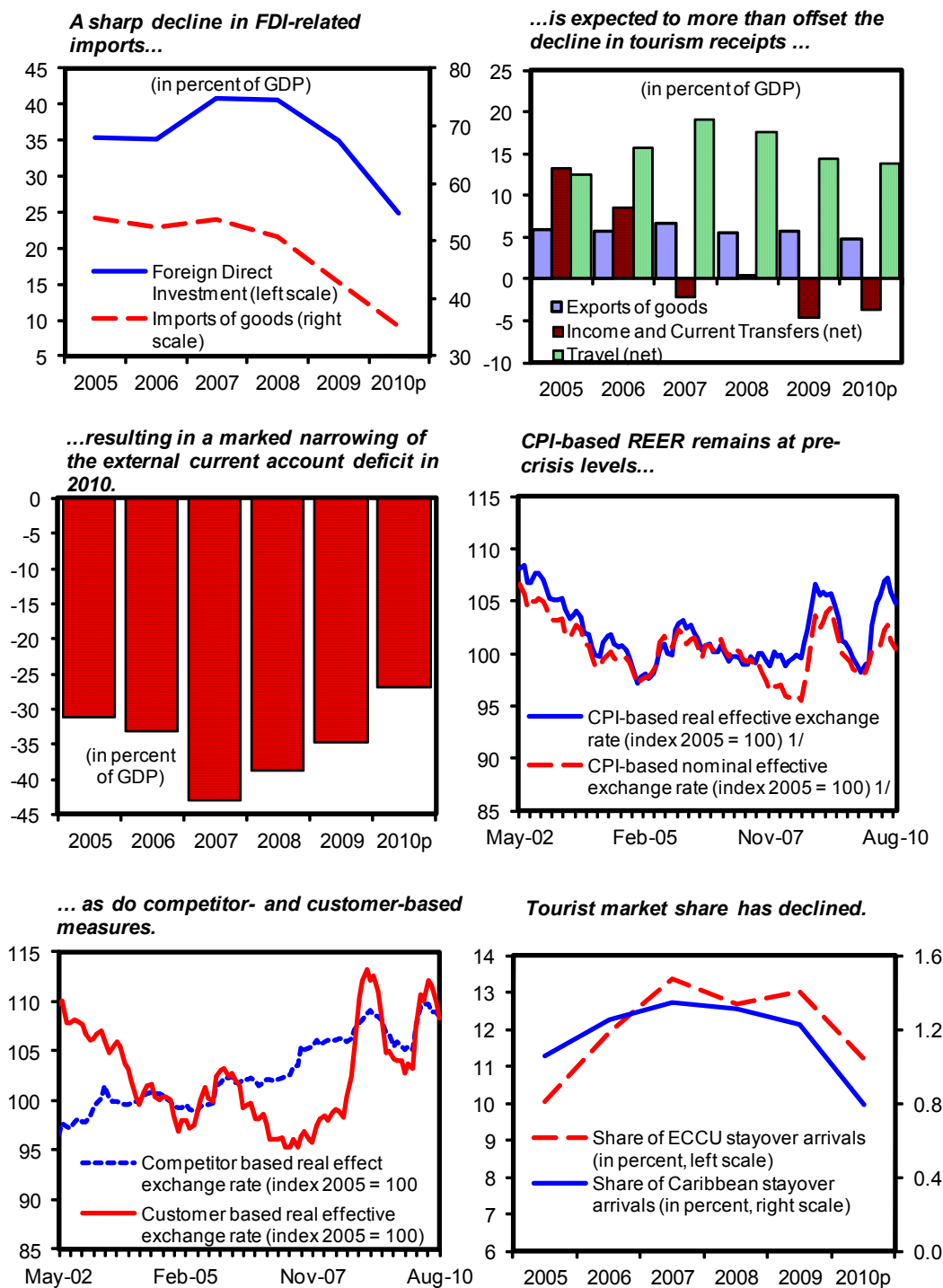
Sources: ECCB; and Fund staff calculations.

Figure 3. Grenada: Fiscal Sector Indicators
(In percent of GDP)



Sources: Grenada authorities; ECCU country authorities; and Fund staff estimates.

Figure 4. Grenada: External and Competitiveness Indicators



Sources: Grenada authorities; ECCB; Caribbean Tourist Organization; and Fund staff calculations.

1/ An increase (decrease) indicates an appreciation (depreciation).

Table 1. Grenada: Selected Economic and Financial Indicators, 2007–11

Rank in UNDP Human Development Index out of 179 countries (2008)	86	Infant mortality rate per '000 births (2006)	16			
Life expectancy at birth in years (2006)	68	Adult illiteracy rate in percent (2004)	4			
GDP per capita in US\$ (2007)	5,760	Poverty headcount index (2008)	38			
	Est. 2007	Est. 2008	Est. 2009	Prog. 2010	Rev. 2010	Proj. 2011
	(Annual percentage change; unless otherwise specified)					
National income and prices						
Real GDP	4.9	2.2	-7.7	0.8	0.0	1.0
GDP deflator	3.4	10.2	-1.2	3.2	4.9	2.2
Consumer prices 1/						
End-of-year 1/	7.4	5.2	-2.4	4.7	6.2	2.6
Period average 1/	3.9	8.0	-0.3	3.6	5.0	2.2
External sector						
Exports of goods (value)	26.1	-7.4	-6.4	6.1	-13.4	3.5
Imports of goods (value)	10.6	5.0	-23.7	4.2	-13.9	7.8
Exports of goods (volume)	16.5	-19.1	9.8	-3.0	-22.0	1.5
Imports of goods (volume)	1.9	-5.6	-13.6	-2.8	-19.1	7.0
Current account balance (including grants; in percent of GDP)	-43.2	-38.7	-34.8	-25.0	-26.9	-26.8
FDI (net, in percent of GDP)	24.8	21.2	16.7	11.5	10.9	12.1
Real effective exchange rate (end of period, depreciation -)	0.2	6.6	-6.8	...	...	...
Banking system						
Net foreign assets 2/	-1.0	-9.3	1.8	-1.9	-0.6	-1.7
Net domestic assets 2/	12.1	13.4	1.5	6.7	5.3	4.7
<i>Of which</i>						
Credit to public sector (net) 2/	1.5	1.0	-1.8	1.2	-0.1	-1.4
Credit to private sector 2/	12.0	10.2	4.1	5.5	5.4	8.2
Money and quasi-money (M2)	11.0	4.1	3.3	4.8	4.7	3.0
Weighted average deposit rate (in percent)	3.0	3.2	3.0	...	...	...
Weighted average lending rate (in percent)	9.6	9.2	10.7	...	...	...
	(In percent of GDP)					
Central government finances 3/						
Total revenue and grants	27.1	29.4	28.5	28.2	28.8	28.9
<i>Of which</i>						
Grants	1.0	4.1	4.1	3.9	4.8	3.6
Total expenditure	34.9	34.5	35.1	31.1	30.5	29.8
Current expenditure	21.4	22.8	25.6	23.5	23.2	22.3
<i>Of which</i>						
Salaries and allowances	9.6	11.0	11.5	11.1	11.1	10.8
Capital expenditure	13.5	11.7	9.5	7.6	7.4	7.5
Primary balance (excluding grants)	-6.9	-7.0	-7.9	-3.6	-3.8	-1.6
Primary balance (including grants)	-5.8	-3.0	-3.8	0.3	1.1	2.0
Current balance	4.6	2.6	-1.2	0.8	0.8	3.0
Overall balance (including grants)	-7.9	-5.1	-6.6	-2.9	-1.7	-0.9
Public and publicly guaranteed debt (end-period)	111.0	102.2	122.3	119.1	118.9	117.9
	(In millions of U.S. dollars)					
Nominal GDP	610.3	678.5	614.8	645.2	644.9	665.8

Sources: Ministry of Finance; Eastern Caribbean Central Bank; United Nations, Human Development Report 2008; World Bank WDI 2007; and Fund staff estimates and projections.

1/ Assumes that VAT introduction in February 2010 will increase prices by 3.5 percentage points.

2/ As a percent of broad money at the beginning of the year.

3/ Measured using above-the-line information.

Table 2. Grenada: Central Government Finances, 2007–11
(In millions of Eastern Caribbean dollars)

	Actual 2007	Actual 2008	Actual 2009	H1 2010	Program 2010	Rev.	Proj. 2011
Total revenue and grants	445.8	538.8	473.8	246.0	491.5	502.3	519.7
Total revenue	428.5	464.5	405.5	216.1	423.6	417.9	454.8
Current revenue	428.4	464.4	405.4	216.1	423.5	417.7	454.6
Tax revenue	402.8	433.8	379.9	202.3	397.4	391.3	427.1
Taxes on income and profits	74.8	94.6	87.2	40.8	78.2	77.5	81.0
Taxes on property	29.0	26.0	18.8	11.4	18.9	17.9	24.7
Taxes on goods and services 1/	71.3	78.7	76.0	88.3	183.3	173.1	193.2
Taxes on international transactions 1/	227.7	234.6	197.9	61.8	116.9	122.8	128.2
Nontax revenue	25.6	30.6	25.5	13.8	26.1	26.4	27.6
Capital revenue	0.1	0.1	0.1	0.1	0.1	0.2	0.2
Grants 2/	17.3	74.3	68.3	29.9	67.9	84.4	64.9
Total expenditure	575.8	631.7	582.7	268.7	542.6	531.9	535.3
Current expenditure	352.7	416.8	424.9	207.7	409.4	403.2	400.3
Current primary expenditure	318.5	378.7	378.6	188.2	352.8	354.9	348.0
Salaries and allowances	158.4	200.8	191.2	96.4	193.7	194.0	194.0
Wages and salaries	140.7	180.0	166.2	83.5	169.4	168.1	167.4
Personnel allowances	17.7	20.8	25.1	12.9	24.3	25.9	26.6
Goods and services	79.1	84.7	86.0	53.3	78.0	85.4	80.0
Interest 4/	34.2	38.2	46.3	19.4	56.7	48.3	52.3
Domestic	11.5	13.8	15.1	4.0	19.5	11.0	17.2
Foreign	22.6	24.3	31.2	15.5	37.2	37.2	35.1
Transfers and subsidies	81.0	93.2	101.4	38.5	81.1	75.5	74.0
Capital expenditure	223.1	214.9	157.8	61.1	133.2	128.7	135.0
Current balance	75.8	47.6	-19.5	8.4	14.0	14.5	54.3
Primary balance (excluding grants)	-113.1	-129.1	-130.9	-33.2	-62.3	-65.7	-28.2
Primary balance (including grants)	-95.9	-54.8	-62.6	-3.3	5.6	18.7	36.7
Overall balance (excluding grants)	-147.3	-167.2	-177.2	-52.6	-119.1	-114.0	-80.5
Overall balance (including grants)	-130.0	-92.9	-108.9	-22.7	-51.1	-29.6	-15.6
Statistical discrepancy / gap	4.6	17.4	-14.6	-3.4	0.0	7.6	0.0
Financing	125.4	75.5	123.5	26.2	51.1	22.0	15.6
Net external financing	40.2	44.1	74.3	0.7	35.0	30.6	45.5
Net amortization	40.5	40.1	74.3	0.7	35.0	30.6	45.5
Disbursements	62.7	65.7	101.1	23.8	68.8	71.2	76.6
Amortization	-22.2	-25.6	-26.8	-23.1	-33.8	-40.6	-31.2
Change in government assets	-0.3	4.0	0.0	0.0	0.0	0.0	0.0
Net domestic financing	69.7	0.7	3.6	29.1	36.9	12.2	-17.4
ECCB (net)	12.6	2.3	-37.0	38.3	37.0	12.3	-17.4
Commercial banks (net) 3/	54.4	13.3	19.4	-9.1	0.0	0.0	0.0
Domestic debt	2.7	-14.9	21.2	-0.1	0.0	-0.1	0
Of which: Banking system	0.0	2.9	-6.5	0.0	0.0	0.0	0.0
Divestment/privatization proceeds	36.0	50.3	7.3	0.0	0.0	0.0	0.0
Change in unpaid invoices 4/	-20.5	-19.6	38.4	-3.6	-20.8	-20.8	-12.4
Memorandum items:							
Nominal GDP (market prices)	1,648	1,832	1,660	1,741	1,742	1,741	1,798
Stock of unpaid invoices 4/	28.8	9.2	47.6	44.0	26.8	26.8	14.4
Expenditure arrears (older than 60 days)	...	...	24.6	14.3	12.5	12.5	5.0
Float (less than 60 days)	...	...	23.0	29.7	14.3	14.3	9.4

Sources: Ministry of Finance; and Fund staff estimates and projections.

1/ The VAT introduced on February 1, 2010 is classified exclusively under taxes on goods and services, unlike the Generalized Consumption Tax it replaces. Its introduction is expected to yield an additional 0.5 percent of GDP.

2/ Includes the transfer to the budget of PetroCaribe financing beyond that needed to repay related debt.

3/ Excludes commercial bank holdings of government paper, which are shown in the following two lines.

4/ Includes interest arrears to nonparticipating creditors in the debt exchange based on the post-exchange interest rate.

Table 2a. Grenada: Central Government Finances, 2007–11

(In percent of GDP, unless noted otherwise)

	Actual 2007	Actual 2008	Actual 2009	H1 2010	Program 2010	Rev.	Proj. 2011
Total revenue and grants	27.1	29.4	28.5	14.1	28.2	28.8	28.9
Total revenue	26.0	25.4	24.4	12.4	24.3	24.0	25.3
Current revenue	26.0	25.4	24.4	12.4	24.3	24.0	25.3
Tax revenue	24.4	23.7	22.9	2.3	22.8	22.5	23.8
Taxes on income and profits	4.5	5.2	5.3	2.3	4.5	4.5	4.5
Taxes on property	1.8	1.4	1.1	0.7	1.1	1.0	1.4
Taxes on goods and services 1/	4.3	4.3	4.6	5.1	10.5	9.9	10.7
Taxes on international transactions 1/	13.8	12.8	11.9	3.5	6.7	7.0	7.1
Nontax revenue	1.6	1.7	1.5	0.8	1.5	1.5	1.5
Capital revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Grants 2/	1.0	4.1	4.1	1.7	3.9	4.8	3.6
Total expenditure	34.9	34.5	35.1	15.4	31.1	30.5	29.8
Current expenditure	21.4	22.8	25.6	11.9	23.5	23.2	22.3
Current primary expenditure	19.3	20.7	22.8	10.8	20.2	20.4	19.4
Salaries and allowances	9.6	11.0	11.5	5.5	11.1	11.1	10.8
Wages and salaries	8.5	9.8	10.0	4.8	9.7	9.7	9.3
Personnel allowances	1.1	1.1	1.5	0.7	1.4	1.5	1.5
Goods and services	4.8	4.6	5.2	3.1	4.5	4.9	4.5
Interest 4/	2.1	2.1	2.8	1.1	3.3	2.8	2.9
Domestic	0.7	0.8	0.9	0.2	1.1	0.6	1.0
Foreign	1.4	1.3	1.9	0.9	2.1	2.1	2.0
Transfers and subsidies	4.9	5.1	6.1	2.2	4.7	4.3	4.1
Capital expenditure	13.5	11.7	9.5	3.5	7.6	7.4	7.5
Current balance	4.6	2.6	-1.2	0.5	0.8	0.8	3.0
Primary balance (excluding grants)	-6.9	-7.0	-7.9	-1.9	-3.6	-3.8	-1.6
Primary balance (including grants)	-5.8	-3.0	-3.8	-0.2	0.3	1.1	2.0
Overall balance (excluding grants)	-8.9	-9.1	-10.7	-3.0	-6.8	-6.5	-4.5
Overall balance (including grants)	-7.9	-5.1	-6.6	-1.3	-2.9	-1.7	-0.9
Statistical discrepancy / gap	0.3	0.9	-0.9	-0.2	0.0	0.4	0.0
Financing	7.6	4.1	7.4	1.5	2.9	1.3	0.9
Net external financing	2.4	2.4	4.5	0.0	2.0	1.8	2.5
Net amortization	2.5	2.2	4.5	0.0	2.0	1.8	2.5
Disbursements	3.8	3.6	6.1	1.4	3.9	4.1	4.3
Amortization	-1.3	-1.4	-1.6	-1.3	-1.9	-2.3	-1.7
Change in government assets	0.0	0.2	0.0	0.0	0.0	0.0	0.0
Net domestic financing	4.2	0.0	0.2	1.7	2.1	0.7	-1.0
ECCB (net)	0.8	0.1	-2.2	2.2	2.1	0.7	-1.0
Commercial banks (net) 3/	3.3	0.7	1.2	-0.5	0.0	0.0	0.0
Domestic debt	0.2	-0.8	1.3	0.0	0.0	0.0	0.0
Of which: Banking system	0.0	0.2	-0.4	0.0	0.0	0.0	0.0
Divestment/privatization proceeds	2.2	2.7	0.4	0.0	0.0	0.0	0.0
Change in unpaid invoices 4/	-1.2	-1.1	2.3	-0.2	-1.2	-1.2	-0.7
Memorandum items:							
Nominal GDP (market prices, EC\$ millions)	1,648	1,832	1,660	1,741	1,742	1,741	1,798
Stock of unpaid invoices 4/	1.7	0.5	2.9	2.5	1.5	1.5	0.8
Expenditure arrears (older than 60 days)	...	...	1.5	0.8	0.7	0.7	0.3
Float (less than 60 days)	...	...	1.4	1.7	0.8	0.8	0.5

Sources: Ministry of Finance; and Fund staff estimates and projections.

1/ The VAT introduced on February 1, 2010 is classified exclusively under taxes on goods and services, unlike the Generalized Consumption Tax it replaces. Its introduction is expected to yield an additional 0.5 percent of GDP.

2/ Includes the transfer to the budget of PetroCaribe financing beyond that needed to repay related debt.

3/ Excludes commercial bank holdings of government paper, which are shown in the following two lines.

4/ Includes interest arrears to nonparticipating creditors in the debt exchange based on the post-exchange interest rate.

Table 3. Grenada: Summary Accounts of the Banking System, 2007–11

	2007	2008	2009	Projections	
				2010	2011
(In millions of Eastern Caribbean dollars, end of period)					
Net foreign assets	405.6	248.8	281.0	269.4	238.0
ECCB	298.2	281.0	303.4	286.2	270.7
Of which: Imputed reserves 1/	298.2	281.0	345.9	327.6	312.0
Commercial banks	107.4	-32.2	-22.4	-16.9	-32.6
Net domestic assets	1,279.7	1,504.9	1,531.1	1,627.9	1,716.5
Public sector credit (net)	-12.5	4.4	-27.1	-28.5	-56.0
Central government	104.3	122.9	98.7	112.3	84.8
ECCB	5.0	6.4	-30.6	-18.3	-35.7
Commercial banks	99.3	116.4	129.3	130.5	120.5
Net credit to rest of public sector	-116.8	-118.5	-125.8	-140.8	-140.8
National Insurance Scheme	-112.5	-135.1	-152.4	-167.4	-167.4
Other	-4.3	16.6	26.6	26.6	26.6
Credit to private sector	1,425.2	1,596.7	1,668.8	1,767.1	1,922.9
Other items (net)	-133.0	-96.2	-110.6	-110.6	-110.6
Broad money	1,685.3	1,753.7	1,812.1	1,897.3	1,954.6
Money	376.2	355.5	324.3	314.3	308.8
Currency in circulation	107.8	103.4	106.7	103.4	101.6
Demand deposits	268.4	252.1	217.7	210.9	207.3
Quasi-money	1,309.1	1,398.1	1,487.8	1,583.0	1,645.8
Time deposits	264.5	291.6	339.2	360.9	375.2
Savings deposits	915.8	980.6	1,014.4	1,079.3	1,122.1
Foreign currency deposits	128.8	125.9	134.2	142.8	148.4
(Annual percentage change)					
Net foreign assets	-3.8	-38.7	12.9	-4.1	-11.6
Net domestic assets	16.7	17.6	1.7	6.3	5.4
Credit to private sector	14.7	12.0	4.5	5.9	8.8
Broad money	11.0	4.1	3.3	4.7	3.0
Money	15.6	-5.5	-8.8	-3.1	-1.8
Quasi-money	9.8	6.8	6.4	6.4	4.0
(Percent contribution compared to M2 at the beginning of the year)					
Net foreign assets	-1.0	-9.3	1.8	-0.6	-1.7
Net domestic assets	12.1	13.4	1.5	5.3	4.7
Public sector credit (net)	1.5	1.0	-1.8	-0.1	-1.4
Of which: Central government	4.4	1.1	-1.4	0.7	-1.4
Credit to private sector	12.0	10.2	4.1	5.4	8.2
Other items (net)	-1.5	2.2	-0.8	0.0	0.0
Memorandum item:					
Income velocity 2/	1.2	1.1	1.0	1.0	0.9

Sources: Eastern Caribbean Central Bank; Ministry of Finance; and Fund staff estimates.

1/ Incorporates SDR allocation of SDR 10.2 million.

2/ Nominal GDP at market prices divided by liabilities to the private sector.

Table 4. Grenada: Summary Balance of Payments, 2007–15

	2007	Est.		Projections					
		2008	2009	2010	2011	2012	2013	2014	2015
(In millions of U.S. dollars)									
Current account	-263.4	-262.8	-214.1	-173.6	-178.2	-203.4	-213.6	-203.4	-187.2
Trade balance	-287.2	-306.7	-227.6	-195.8	-212.3	-249.2	-272.1	-272.1	-263.2
Exports (f.o.b.) 1/	40.7	37.7	35.3	30.6	31.6	36.5	42.1	46.9	51.1
Imports (f.o.b.)	-327.9	-344.4	-262.9	-226.3	-244.0	-285.7	-314.2	-319.0	-314.3
Of which: Mineral fuels	-53.6	-74.7	-49.1	-56.1	-62.0	-66.1	-64.3	-64.6	-69.5
Travel (net)	116.8	118.8	88.4	89.3	98.2	108.6	120.5	134.5	150.2
Other services (net)	-80.2	-78.3	-46.7	-43.5	-45.1	-47.1	-49.6	-53.8	-58.0
Income (net)	-45.6	-49.5	-66.0	-64.5	-69.8	-74.7	-78.0	-80.9	-85.0
Transfers (net)	32.8	52.9	37.7	40.9	50.9	59.1	65.6	68.9	68.9
Capital and financial account	249.1	275.0	214.8	161.0	162.5	190.3	204.2	203.1	195.3
Capital account (transfers)	24.1	24.2	38.7	26.7	27.6	28.6	29.8	29.1	29.8
Financial account	225.0	250.8	176.1	134.3	135.0	161.7	174.3	174.1	165.6
Public sector borrowing (net)	17.7	25.0	21.9	18.1	25.2	12.8	-4.8	-0.5	0.3
Direct investment (net)	151.6	144.1	102.6	70.6	80.1	110.8	130.3	123.3	104.7
Portfolio investment (net)	-2.6	-0.3	14.0	14.5	14.9	15.5	16.1	16.6	17.3
Change in NFA of commercial banks	16.5	51.7	-4.6	-2.5	13.5	20.5	33.4	36.6	38.2
Other investments (net)	41.6	30.2	59.5	48.2	16.2	17.6	15.4	14.7	22.4
Net errors and omissions	27.3	-25.7	5.9	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance	13.0	-13.5	6.5	-12.7	-15.6	-13.0	-9.5	-0.3	8.2
Available financing	-13.0	13.5	6.5	12.7	9.3	7.6	3.8	-5.6	-9.7
Change in NFA	-10.7	6.4	-8.3	6.4	5.8	4.4	2.4	-2.9	-5.2
Change in net imputed reserves	-10.7	6.4	-8.3	6.4	5.8	4.4	2.4	-2.9	-5.2
Of which: due to SDR allocation	0.0	0.0	-17.1	0.0	0.0	0.0	0.0	0.0	0.0
Change in medium- and long-term net liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
IMF purchases and disbursements	0.0	8.5	12.0	6.3	3.7	3.7	1.9	0.0	0.0
IMF repurchases and repayments	-2.2	-2.9	-2.3	0.0	-0.2	-0.5	-0.5	-2.7	-4.6
Exceptional financing 2/	0.0	0.0	5.1	0.0	0.0	0.0	0.0	0.0	0.0
Other	-0.1	1.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financing gap 3/				0.0	6.3	5.3	5.7	5.8	1.6
(In percent of GDP)									
Current account	-43.2	-38.7	-34.8	-26.9	-26.8	-29.1	-29.0	-26.4	-23.1
Trade balance	-47.1	-45.2	-37.0	-30.4	-32.0	-35.7	-36.9	-35.3	-32.5
Exports of goods	6.7	5.6	5.7	4.7	4.8	5.2	5.7	6.1	6.3
Imports of goods	-53.7	-50.8	-42.8	-35.1	-36.7	-40.9	-42.6	-41.4	-38.8
Travel (net)	19.1	17.5	14.4	13.8	14.8	15.6	16.4	17.5	18.6
Other services (net)	-13.1	-11.5	-7.6	-6.7	-6.8	-6.7	-6.7	-7.0	-7.2
Income and current transfers (net)	-2.1	0.5	-4.6	-3.7	-2.8	-2.2	-1.7	-1.6	-2.0
Capital and financial account	40.8	40.5	34.9	25.0	24.5	27.3	27.7	26.4	24.1
Public sector	2.9	3.7	3.6	2.8	3.8	1.8	-0.6	-0.1	0.0
Private sector	37.9	36.8	31.4	22.2	20.7	25.4	28.4	26.4	24.1
Of which: Direct investment (net)	24.8	21.2	16.7	10.9	12.1	15.9	17.7	16.0	12.9
Overall balance	2.1	-2.0	1.1	-2.0	-2.4	-1.9	-1.3	0.0	1.0
(Annual percentage change)									
Exports of goods	26.1	-7.4	-6.4	-13.4	3.5	15.3	15.5	11.4	8.9
Imports of goods	10.6	5.0	-23.7	-13.9	7.8	17.1	10.0	1.5	-1.5
Travel (net)	32.4	1.7	-25.5	1.0	9.9	10.7	10.9	11.6	11.7

Sources: Eastern Caribbean Central Bank; Ministry of Finance; and Fund staff estimates and projections.

1/ Re-exports increased sharply in 2007 upon completion of construction related to the 2007 Cricket World Cup.

2/ For 2009 includes debt rescheduling from the Paris Club and Taiwan Province of China—the latter is under negotiation for settlement.

3/ Includes possible debt restructuring.

Table 5. Grenada: Public Sector Debt, 2009
(Year end, in millions of U.S. dollars)

	Stock	Percent of	
		Total Debt	GDP
Public sector debt 1/	752.0	100.0	122.3
Central government debt	657.2	87.4	106.9
Central-government guaranteed debt	49.3	6.6	8.0
Other public sector debt	45.5	6.0	7.4
External debt	538.7	71.6	87.6
Central government	474.4	63.1	77.2
Multilateral	192.0	25.5	31.2
CDB	108.4	14.4	17.6
IDA	39.0	5.2	6.3
IBRD	10.8	1.4	1.8
IMF	23.0	3.1	3.7
Other multilateral	10.7	1.4	1.7
Official bilateral	83.0	11.0	13.5
Paris Club	18.3	2.4	3.0
Belgium	7.3	1.0	1.2
France	4.3	0.6	0.7
Russian Federation	0.2	0.0	0.0
United Kingdom	3.7	0.5	0.6
United States	2.9	0.4	0.5
Non-Paris Club	64.7	8.6	10.5
Kuwait	21.8	2.9	3.5
Taiwan Province of China	20.3	2.7	3.3
Trinidad and Tobago	17.1	2.3	2.8
Other bilateral	5.6	0.7	0.9
Commercial, total	199.4	26.5	32.4
Restructured bonds	193.5	25.7	31.5
Unrestructured bonds	5.8	0.8	0.9
Central government guaranteed	18.9	2.5	3.1
<i>Of which</i>			
Paris Club	5.0	0.7	0.8
Other public sector 2/	45.5	6.0	7.4
Domestic debt	213.2	28.4	34.7
Central government	182.9	24.3	29.7
Restructured Bonds	68.1	9.1	11.1
Unrestructured bonds	2.8	0.4	0.5
Treasury bills	36.9	4.9	6.0
Commercial bank loans	25.5	3.4	4.1
Overdraft	16.5	2.2	2.7
Domestic arrears	17.6	2.3	2.9
Compensation claims	14.8	2.0	2.4
Other	0.6	0.1	0.1
Central-government guaranteed	30.4	4.0	4.9
Memorandum item:			
Nominal GDP	614.8		

Sources: Grenada authorities; and Fund staff estimates.

1/ Includes central government liabilities to the National Insurance Scheme.

2/ Includes PetroCaribe-related borrowing.

Table 6. Grenada: Medium-Term Macro Framework, 2007–15
(In percent of GDP unless, otherwise indicated)

	Actual			Projections					
	2007	2008	2009	2010	2011	2012	2013	2014	2015
Output and prices (in percent)									
Real GDP growth (in percent)	4.9	2.2	-7.7	0.0	1.0	3.0	3.5	4.0	4.0
GDP deflator (in percent)	3.4	10.2	-1.2	4.9	2.2	2.3	2.0	2.0	2.0
CPI inflation (period average, in percent)	3.9	8.0	-0.3	5.0	2.2	2.3	2.0	2.0	2.0
CPI inflation (end of period, in percent)	7.4	5.2	-2.4	6.2	2.6	2.0	2.0	2.0	2.0
Gross national savings	7.7	9.1	1.2	5.7	6.7	4.6	4.8	7.0	10.2
Public	4.1	5.2	0.2	1.9	1.6	2.4	3.8	4.6	4.8
Private	3.6	3.9	1.0	3.8	5.1	2.2	1.0	2.4	5.3
Gross domestic investment	50.9	47.8	36.0	34.9	35.8	36.0	36.0	35.8	36.1
Public	9.2	6.2	5.0	3.9	3.8	3.5	3.5	3.3	3.1
Private	41.7	41.7	31.0	31.0	32.0	32.5	32.5	32.5	33.0
Central government operations 1/									
Total revenue and grants	27.1	29.4	28.5	28.8	28.9	29.1	29.3	28.6	28.8
Total revenue	26.0	25.4	24.4	24.0	25.3	25.6	26.1	26.1	26.4
Of which: tax revenue	24.4	23.7	22.9	22.5	23.8	24.1	24.5	24.5	24.7
Grants	1.0	4.1	4.1	4.8	3.6	3.4	3.3	2.6	2.4
Total expenditure	34.9	34.5	35.1	30.5	29.8	29.1	27.4	27.4	27.1
Current expenditure	21.4	22.8	25.6	23.2	22.3	21.1	20.1	20.1	19.8
Of which:									
Salaries and allowances	9.6	11.0	11.5	11.1	10.8	10.2	9.7	9.6	9.5
Goods and services	4.8	4.6	5.2	4.9	4.5	4.0	4.0	3.7	3.3
Interest payments	2.1	2.1	2.8	2.8	2.9	2.8	2.7	3.3	3.6
Transfers and subsidies	4.9	5.1	6.1	4.3	4.1	4.0	3.8	3.5	3.3
Capital expenditure	13.5	11.7	9.5	7.4	7.5	7.0	7.3	7.3	7.3
Primary balance (excluding grants)	-6.9	-7.0	-7.9	-3.8	-1.6	0.4	1.3	1.9	2.9
Primary balance (including grants)	-5.8	-3.0	-3.8	1.1	2.0	3.8	4.6	4.5	5.3
Overall balance (including grants)	-7.9	-5.1	-6.6	-1.7	-0.9	1.0	1.9	1.2	1.7
External sector									
Exports of goods	6.7	5.6	5.7	4.7	4.8	5.2	5.7	6.0	6.1
Imports of goods	53.7	50.8	42.8	35.1	36.6	40.7	42.4	40.6	37.7
Travel (net)	19.1	17.5	14.4	13.8	14.7	15.5	16.3	17.1	18.0
Foreign direct investment	24.8	21.2	16.7	10.9	12.1	15.9	17.7	16.0	12.9
Current account	-43.2	-38.7	-34.8	-26.9	-26.8	-29.1	-29.0	-26.4	-23.1
Overall balance	2.1	-2.0	1.1	-2.0	-2.4	-1.9	-1.3	0.0	1.0
Imputed gross international reserves									
(in millions of U.S. dollars)	112.8	107.1	124.2	124.2	112.7	106.3	100.6	96.2	91.8
(in months of imports of goods and services)	3.4	3.2	3.8	3.8	3.4	3.2	3.0	2.9	2.8
Memorandum items:									
	(in millions of U.S. dollars)								
Nominal GDP	610	678	615	645	666	701	740	785	833
Total public sector debt	678	693	752	767	785	789	774	763	748
External debt	479	506	539	561	590	614	613	609	598
Domestic debt	199	187	213	206	194	175	161	154	150

Source: Eastern Caribbean Central Bank; Ministry of Finance; and Fund staff estimates.

1/ Measured using above-the-line information.

Table 7. Grenada: Reviews and Disbursements Under the Existing Arrangement, 2010–13

Date	Conditions	Disbursement	Percent of Quota	Availability date
April 2010	Board approval of ECF arrangement	SDR 1,275,000	10.9	April 17, 2010
November 2010	Observance of end-June 2010 performance criteria and completion of first review	SDR 1,250,000	10.7	November 15, 2010
May 2011	Observance of end-December 2010 performance criteria and completion of second review	SDR 1,250,000	10.7	May 15, 2011
November 2011	Observance of end-June 2011 performance criteria and completion of third review	SDR 1,250,000	10.7	November 15, 2011
May 2012	Observance of end-December 2011 performance criteria and completion of fourth review	SDR 1,250,000	10.7	May 15, 2012
November 2012	Observance of end-June 2012 performance criteria and completion of fifth review	SDR 1,250,000	10.7	November 15, 2012
April 2013	Observance of end-November 2012 performance criteria and completion of sixth review	SDR 1,250,000	10.7	April 15, 2013
Total		SDR 8,775,000	75.0	

Table 8. Grenada: Indicators of Capacity to Repay the Fund, 2007–16

(In millions of SDRs, unless otherwise indicated)

	2007	2008	2009	Projections						
				2010	2011	2012	2013	2014	2015	2016
Fund obligations based on existing credit	1.7	1.9	1.5	0.0	0.2	0.3	0.3	1.8	3.0	2.8
Repurchases and repayments	1.5	1.8	1.5	0.0	0.2	0.3	0.3	1.8	2.9	2.8
Charges and interest	0.3	0.1	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Fund obligations based on existing and prospective credit	1.7	1.9	1.5	0.0	0.2	0.4	0.4	1.8	3.3	3.8
Repurchases and repayments	1.5	1.8	1.5	0.0	0.2	0.3	0.3	1.8	3.2	3.8
Charges and interest	0.3	0.1	0.1	0.0	0.0	0.1	0.1	0.1	0.1	0.0
Fund obligations based on existing and prospective credit										
In millions of U.S. dollars	2.7	3.0	2.4	0.0	0.2	0.6	0.6	2.9	5.1	5.9
In percent of exports of goods and services	1.4	1.6	1.4	0.0	0.1	0.3	0.3	1.2	1.9	2.0
In percent of debt service 1/	10.5	10.0	6.6	0.0	0.9	1.6	1.2	5.0	8.1	7.9
In percent of GDP	0.4	0.4	0.4	0.0	0.0	0.1	0.1	0.4	0.6	0.7
In percent of Imputed Net International Reserves	2.4	2.9	2.1	0.0	0.2	0.6	0.6	3.0	5.2	5.9
In percent of quota	14.8	16.5	13.1	0.0	1.4	3.2	3.2	15.7	28.2	32.4
Outstanding Fund credit (end of period)										
In millions of SDRs	4.9	8.4	14.7	18.9	21.2	23.4	24.4	22.6	19.4	15.6
In millions of U.S. dollars	7.7	13.0	22.9	29.5	33.1	36.5	38.0	35.2	30.2	24.3
In percent of exports of goods and services	4.1	6.8	13.1	16.8	17.6	17.7	16.7	14.2	11.2	8.4
In percent of debt service 1/	30.4	42.6	63.2	113.9	113.7	104.3	76.4	61.9	47.4	32.7
In percent of GDP	1.3	1.9	3.7	4.6	5.0	5.2	5.2	4.6	3.7	2.8
In percent of Imputed Net International Reserves	6.9	12.5	20.4	27.8	33.0	38.1	40.6	36.6	30.8	24.4
In percent of quota	41.5	71.9	125.7	161.6	181.6	200.3	208.4	193.1	165.4	133.4
Net use of Fund credit	-1.5	3.6	6.3	4.2	2.3	2.2	0.9	-1.8	-3.2	-3.8
Disbursements	0.0	5.4	7.8	4.2	2.5	2.5	1.3	0.0	0.0	0.0
Repayments and Repurchases	1.5	1.8	1.5	0.0	0.2	0.3	0.3	1.8	3.2	3.8
Memorandum items:										
Exports of goods and services (in millions of US\$)	188.2	191.5	175.3	175.0	187.7	206.3	227.3	247.4	269.3	289.3
Debt service (in millions of US\$) 1/	25.2	30.4	36.2	25.9	29.1	35.0	49.8	56.9	63.7	74.4
GDP (in millions of US\$)	610.3	678.5	614.8	644.9	664.4	698.0	736.9	770.4	809.4	862.7
Imputed Net International Reserves (in millions of US\$)	110.4	104.1	112.4	106.0	100.2	95.9	93.5	96.3	98.1	99.9
Quota	11.7	11.7	11.7	11.7	11.7	11.7	11.7	11.7	11.7	11.7

Source: Fund staff estimates and projections.

1/ Total debt service including to the Fund.

Table 9. Grenada: Vulnerability Indicators, 2005–10

	2005	2006	2007	2008	Est. 2009	2010	Latest Available
Real sector indicators							
Real GDP growth (percent)	11.0	-2.3	4.9	2.2	-7.7	...	
CPI inflation (period average, in percent)	3.5	4.2	3.9	8.0	-0.3	6.3	September
Financial sector indicators							
Regulatory capital to risk-weighted assets	15.8	17.8	15.8	15.2	16.1	15.7	June
Regulatory Tier 1 capital to risk-weighted assets	13.1	13.4	13.5	13.1	14.0	13.4	June
Nonperforming loans net of provisions to capital	27.4	13.3	11.8	16.5	49.3	46.8	June
Nonperforming loans to total gross loans	5.5	3.7	3.5	3.5	5.9	5.9	June
o/w Foreign banks	4.7	3.1	3.2	3.1	5.8	5.9	June
Sectoral distribution of loans to total loans							
o/w Residents	93.1	92.1	92.9	93.9	94.4	94.6	June
o/w Other financial corporations/1	0.2	0.2	0.4	0.6	0.6	0.5	June
o/w General government/2	6.3	7.1	6.9	8.6	9.0	8.1	June
o/w Nonfinancial corporations/3	29.6	30.8	30.8	30.0	28.9	29.9	June
o/w Nonresidents	6.9	7.9	7.1	6.1	5.6	5.4	June
Return on assets	0.7	2.5	2.1	1.9	3.7	0.9	June
Return on equity	-2.7	25.2	19.5	17.3	57.6	14.0	June
Interest margin to gross income	78.9	79.9	75.6	73.8	76.0	77.1	June
Noninterest expenses to gross income	76.1	66.4	66.2	64.6	54.8	55.2	June
Liquid assets to total assets	37.2	31.2	27.6	24.1	21.7	21.4	June
Liquid assets to short-term liabilities	40.0	34.2	30.6	26.8	24.1	23.6	June
Net open position in foreign exchange to capital	138.4	101.4	65.7	47.1	40.3	48.9	June
U.S. treasury bill rate (percent per annum)	3.2	4.7	4.4	1.5	0.1	0.2	June
Treasury bill rate (percent per annum) 4/	6.0	6.5	6.5	6.3	6.5	6.0	June
External sector indicators							
Exchange rate (per US\$, end of period)	2.7	2.7	2.7	2.7	2.7	2.7	October
REER appreciation (percent change on 12-month basis, end of period)	5.9	-4.6	0.2	6.6	-6.8	5.9	August
Exports of goods (percent change, 12-month basis)	-12.4	-1.7	26.1	-7.4	-6.4	...	
Imports of goods (percent change, 12-month basis)	32.1	-0.8	10.6	5.0	-23.7	...	
Travel receipts (gross, percent change, 12-month basis)	-5.4	30.8	27.8	-2.1	-23.9	...	
Current account balance (percent of GDP)	-31.3	-33.2	-43.2	-38.7	-34.8	...	
Capital and financial account balance (percent of GDP)	35.3	35.2	40.8	40.5	34.9	...	
Net FDI inflows (percent of GDP)	12.7	15.9	24.8	21.2	16.7	...	
Gross international reserves of the ECCB (in US\$ millions)	600.8	696.0	764.5	759.0	800.8	836.3	June
Gross international reserves in months of current year imports in ECCU countries	3.9	3.8	3.7	3.4	4.8	...	
Gross international reserves to broad money in ECCU countries (percent)	17.9	18.6	18.6	17.0	17.6	18.2	June
Public gross external debt (in US\$ million)	437.0	457.2	478.7	506.4	538.7	561.5	
Public gross external debt to exports of goods and services (percent)	53.0	49.9	41.7	39.0	50.0	49.8	
Public gross external interest payments to exports of goods and services (percent)	6.5	7.5	7.2	8.2	8.6	9.0	
Public gross external amortization payments to exports of goods and services (percent)	6.0	4.9	8.4	6.9	5.8	5.7	
Public gross external interest payments to fiscal revenue (percent)	5.1	6.0	5.8	6.0	6.5	6.6	
Public gross external amortization payments to fiscal revenue (percent)	4.7	3.9	6.8	5.1	4.4	4.2	
(In percent of GDP)							
Public sector indicators							
Central government overall balance (after grants)	0.4	-6.1	-7.9	-5.1	-6.6	-1.3	June
Public and publicly-guaranteed gross external debt	78.9	81.0	78.4	74.6	87.6	87.1	

Sources: Ministry of Finance; Eastern Caribbean Central Bank; and Fund staff estimates and projections.

1/ Includes Non-Bank Financial Institutions

2/ Includes Subsidiaries and Affiliates and Private Businesses

3/ Includes Households

4/ Rate on 365-day treasury bills.

Annex: Summary of Appendices

The full appendices to this report are issued as a supplement and can be viewed in CyberDocs on the Fund's intranet and on the secure extranet for Executive Directors and member officials.

Fund Relations

Grenada's outstanding purchases as of end-September 2010 amounted to SDR 17.66 million (150.90 percent of quota). Grenada is a member of the ECCB, which manages monetary policy and the exchange system for its eight members. The common currency, the Eastern Caribbean dollar, has been pegged at EC\$ 2.70 per U.S. dollar since July 1976. The last Article IV Consultation was concluded by the Executive Board on November 4, 2009 (EBS/09/168). CARTAC, MCM, FAD, and LEG have provided extensive technical assistance. A safeguards assessment was completed in 2007, and concluded that the ECCB continues to have appropriate control mechanisms in place. Grenada accepted the obligations of Article VIII, Sections 2, 3, and 4 in January 1994. It maintains an exchange system free of restrictions on the making of payments and transfers for current international transactions.

Relations with the World Bank Group¹

In June 2010 the World Bank endorsed the Organization of Eastern Caribbean States (OECS) Regional Partnership Strategy for FY 10–14. The strategy seeks to support economic stability, competitiveness, and inclusive and sustained growth. The FY 10–14 Strategy will support the sub-region's development agenda through two main pillars: (1) building resilience, by promoting fiscal and debt sustainability, improving social safety nets, education and health, and developing climate resilience; and (2) enhancing competitiveness and stimulating sustainable growth, by improving the countries' domestic financial sectors through enhanced regulatory environment and supervisory frameworks for financial institutions. There are eight active World Bank projects in Grenada for a net commitment of approximately US\$32.6 million of which US\$24 million has been disbursed.

Relations with the Caribbean Development Bank²

During 2009, the Caribbean Development Bank (CDB) approved the second Country Strategy Paper (CSP) for Grenada, which outlines the Bank's strategy in Grenada over

¹ This paragraph summarizes information from a note prepared by staff from the World Bank in February 2010

² This paragraph summarizes information from a note prepared by staff from the Caribbean Development Bank in March 2010.

2009-11. The resource envelope of US\$26 million blends the Bank's resources to yield a 35 percent grant element in conformity with Grenada's debt sustainability borrowing terms. The strategy supports macroeconomic management, access to quality education, access by the poor to basic infrastructure, the social policy framework, agricultural output, road access for rural development, the land use policy framework, and reduction of climate change related risks.

Statistical Issues

Grenada participates in the Fund's General Data Dissemination System (GDDS). Although data provision is sufficient for program monitoring, significant improvement is needed to facilitate effective surveillance by addressing weaknesses in coverage, timeliness and frequency data. Planned mid-October 2010 revisions of real GDP and CPI series are expected to result in significant improvement of data quality and reliability.

Attachment I. Letter of Intent

St. George's, Grenada
November 02, 2010

Mr. Dominique Strauss-Kahn
Managing Director
International Monetary Fund
Washington, D.C. 20431

Dear Mr. Strauss-Kahn:

The attached Memorandum of Economic and Financial Policies (MEFP) discusses progress in implementing our current ECF-supported program. With the global recovery still very fragile, we continue to face a very challenging period ahead. The two most important sectors of our economy—tourism and construction, the latter driven to a large extent by FDI—continue to be hard hit by the lack of a sustained recovery in the U.S. and Europe. FDI flows are expected to be lower this year than last year and all FDI-related projects remain at a virtual standstill. As a result, activity is expected to be flat this year and unemployment to remain high. Given our high debt levels and limited financing options, support from our development partners, including the IMF, the Caribbean Development Bank, the World Bank and the European Union, has been important in providing resources to help dampen the negative impact of the recession on our economy.

Despite the difficult economic environment, we remain firmly committed to sound economic and fiscal management. Toward this end, we met all program-related quantitative performance criteria for end June. We have also met all the structural benchmarks, both on the fiscal and financial sectors. In view of this, we request completion of the first review, modification of the performance criterion on non-concessional debt and the release of the second disbursement (SDR 1.25 million) under the ECF.

As in many other countries, we are facing a difficult challenge: generating sustained growth while reducing debt. With the private sector holding back on investment and employment, we believe the government can play a catalytic role to stimulate growth.

The issue of restoring growth is the biggest macro-economic challenge facing our country at this time. I fully concur with your insightful remarks at the opening session of the recently concluded Annual Meetings when you said and I quote “*the biggest threat to fiscal sustainability is low growth*”.

The recent Regional Economic Outlook from the Fund shows that tourism has been a significant contributor to growth in the region. It should be noted that Tourism is also one of the five sectors that we have identified in our own growth strategy for the country, especially given the relatively small size of this sector and the considerable scope for its expansion.

Toward this end, we have submitted an application for a concessional loan of US\$115 million from the Export-Import Bank of China. We intend to use this loan to catalyze private sector involvement in the stalled project to build a luxury hotel.

We believe that this project could generate significant socio-economic benefits for Grenada in the medium and long term. These include:

- (i) employment creation;
- (ii) expanding the room stock which is currently a binding constraint to tourism expansion in Grenada (Grenada to at least double its current capacity of 1500 rooms);
- (iii) improving Grenada's ability to negotiate airlift arrangements for direct flights to/from USA and Europe; and
- (iv) generating foreign exchange earnings.

The project will also boost the construction sector in the short term.

Consistent with our commitment under the ECF programme, we will limit our exposure to a minority share and seek an objective assessment of the economic and financial returns of this project from an internationally reputed third party.

We are mindful of the risks and will proceed only if prospective benefits from this project clearly outweigh the associated additional debt servicing burden from the expected concessional financing.

We are preparing a full Poverty Reduction Strategy Paper (PRSP) to be known as the Growth and Poverty Reduction Strategy (GPRS) and we are stepping up our ability to monitor social spending. The Country Poverty Assessment in combination with the National Strategic Development Plan will form the basis of the PRSP, which is being developed with the help of CDB-funded consultants. We intend to integrate the costed programs starting with the 2012 budget.

We believe that the proposed policies described in the accompanying MEFP are sufficient to achieve our program objectives. Nevertheless, we are committed to any further measures that may become necessary for achieving the program's objectives.

We will consult with the Fund on the adoption of these measures and revisions to the policies contained in the MEFP, in accordance with the Fund's policies on such issues. In this context, once the expected contribution of Grenada to the resolution of BAICO becomes clear, we will consult with Fund staff. We will also continue to provide the Fund any information it may request to monitor and assess the implementation of the economic and financial policies.

As in the past, we intend to make public the contents of this letter, the attached MEFP and Technical Memorandum of Understanding, as well as the accompanying staff report.

Yours faithfully,

_____/s/_____
Honorable V. Nazim Burke
MINISTER FOR FINANCE

Attachment II. Supplementary Memorandum of Economic and Financial Policies

1. **We continue to be guided by our Letter of Intent and Memorandum of Economic and Financial Policies dated March 23, 2010 (MEFP).** This supplement lays out our economic objectives for the forthcoming period. The fundamental objectives of our economic strategy remain mitigating the stresses created by the global crisis and the failures in the regional financial sector while ensuring that public finances are sustainable, improving the climate for private sector investment, promoting sustained high economic growth and alleviating poverty.

I. RECENT ECONOMIC DEVELOPMENTS

2. **The recovery from last year's significant output contraction is yet to take place, with flat growth expected for 2010.** The two main sectors of the economy—tourism and construction—continue to be hard hit by the lack of a sustained recovery in the U.S. and Europe. Tourist arrivals continue to decline, falling by 9.4 percent during the first half of this year compared with the same period in 2009 while construction activity declined by 15.9 percent during the same period. FDI flows to Grenada are expected to be even lower than in 2009. However, we have seen some promising developments in Grenada's agriculture sector notwithstanding the drought in the first half of the year. But the sector at present is too small to alone generate a turnaround in employment and growth. Furthermore, there are significant downside risks given the still uncertain outlook in developed countries, the major source of tourism and FDI for Grenada. Inflation increased to 6.3 percent in September, reflecting both the one-off price effects from the introduction of VAT on February 1, 2010, but also the pass-through from higher international fuel prices compared to last year. However, once the initial effect of the VAT tapers off, average 2010 inflation is projected to decline to 5 percent and to 2.2 percent next year.

3. **Despite the weak real economy, the fiscal outturn through August was in line with program projections.** Revenue collection for the first half of 2010 was in line with expectations. Although spending on goods and services was somewhat higher than expected (in part due to higher-than-assumed fuel prices), we managed to contain overall spending, especially by limiting capital outlays. While we remain committed to meet our annual budget target, we have given some tax exemptions to stimulate the economy and generate much-needed employment. In particular, we have provided some temporary and strictly time-bound tax relief to critical sectors that are the mainstay of the economy, notably tourism and construction.

4. **Private sector credit remains sluggish, while the non-performing loans (NPLs) might not yet have bottomed out.** Private sector credit grew by 4.4 percent (y/y) through August, compared with 4.5 percent at end-2009, as most banks have tightened lending standards given the uncertainty in the economic outlook. Broad money growth also remains very low at 0.3 percent (y/y) at end-August. The ratio of NPLs to total loans remained at

5.9 percent at end-June, the same as at end-December 2009, although this includes restructuring of loans to keep delinquency rates down, a process that will likely continue through 2011.

II. PROGRAM PERFORMANCE

5. All program-related quantitative performance criteria for end June were met.

The introduction of the VAT in February 2010 has been very successful and revenue collections have been in line with expectations. We received higher than expected grants, and as agreed with the IMF, this allowed us to accommodate higher spending while still remaining within the adjusted budget deficit target under the program for end-June. We have met all the program targets:

- The target for the primary balance excluding grants (measured from below the line) was met by a margin of EC\$ 7.4 million (0.4 percent of GDP);
- Domestic arrears older than 60 days were reduced by more than EC\$ 10 million during the first half of this year, meeting the end-June target by a margin of EC\$ 0.7 million (0.04 percent of GDP);
- No new external loans were contracted and no external arrears were accumulated through end-June.

6. We also met the structural benchmarks under the program In line with our commitment:

- We have conducted two quarterly budget reviews, at end-April and end-July, followed by the issuance of finance circulars to keep expenditures under control.
- The VAT unit has been integrated as a new division in the Inland Revenue Department, and officers in the new division are carrying out VAT audits.
- Under the leadership of the newly-appointed Accountant General, we have made an inventory of all the various government bank accounts and have made significant progress in streamlining them in an efficient fashion. By April of next year we expect to have closed all unnecessary bank accounts and established a Single Treasury Account System.
- On the financial sector side, the Grenada Authority for the Regulation of Financial Institutions (GARFIN) has worked closely with the insurance companies to set up statutory funds, and more than half of the total liabilities of the insurance companies have been pledged to GARFIN. We are making efforts to place these assets under trusteeship, but this process has taken longer than expected due to the need to sensitize banks on the trustee requirements of the new Insurance Act. We expect to have this process completed by end-January 2011.

- Using financial vulnerabilities as selection criteria, we have completed the onsite supervision of two small weak insurance companies. By early next year, we plan to have also completed the inspection of a large, systemically important insurance company.

III. OBJECTIVES AND POLICIES FOR THE REST OF 2010 AND 2011

7. **Notwithstanding the difficult global and domestic environment, we remain firmly committed to sound economic and fiscal management.** Our key objectives are: continue to pursue fiscal consolidation in order to reduce the debt service burden on our revenues which will free up resources for other priority spending and place the economy on a sustainable debt trajectory; resolve the strains in the financial sector caused by the collapse of the CL Financial Group and strengthen the financial sector to restore the public's confidence in it; and improve the business and investment climate to achieve broad-based economic growth, generate employment and reduce poverty.

A. Ensuring fiscal and debt sustainability

8. **Given our high debt level (122 percent of GDP at end-2009) we have focused our attention on bringing it down to sustainable levels.** We were able to contain spending in the first half of the year as planned, by working closely with other ministries to cut back nonpriority spending. At the same time, we redoubled our efforts to seek grant financing from donors. Recognizing our efforts to minimize the accumulation of additional debt while also trying to maintain spending in critical priority areas, several donors have stepped in to provide grants. The European Union has pledged EC\$ 11.7 million in the context of the Vulnerability Flex facility (expected by December 2010). In addition Morocco and Venezuela have also committed to provide grants. These disbursements together with our efforts to expedite all public sector projects will help to generate both employment and growth without increasing our debt.

9. **The temporary tax relief measures to some hard-hit sectors were deemed necessary given the continued difficult economic environment.** These measure include:

- A 50 percent reduction in the VAT rate on hotel accommodation from September to November, 2010 to limit job losses during the off-peak season (with a fiscal cost of 0.06 percent of GDP in 2010).
- A 50 percent reduction in the VAT rate on building materials (steel, cement, roofing materials, and lumber) between October 1, 2010—March 31, 2011 (estimated cost 0.05 percent of GDP).
- A one-year removal of the excise tax on the importation of commercial vehicles (estimated cost 0.1 percent of GDP).

10. **In order to offset the loss in revenue from these measures and ensure the integrity of the newly introduced VAT system**, we will (i) keep these tax measures temporary as currently announced, (ii) enforce compliance, including through taxpayer education and service programs to facilitate voluntary compliance with filing and payment requirements, and (iii) expedite the ongoing establishment of a single unique Tax Identification Number.

11. **We are making two permanent changes to the VAT system in order to harmonize it with neighboring countries and to meet our medium and long-term economic growth objectives.** First, the VAT on the service charge for hotels has been eliminated on condition that no less than 90 percent of this service charge is paid to workers as in some other countries in the region using the VAT (estimated foregone revenue from this measure is 0.03 percent of 2010 GDP). Second, all tertiary level textbooks will be exempted from VAT to ensure that our young generation has access to affordable education and improves its human capital to match the growing need for skilled workers (estimated revenue loss from this measure is 0.1 percent of 2010 GDP). Parliament is expected to pass the amended VAT Law, including these two permanent changes as well as the expiration date of the above-mentioned temporary concessions, by end 2010 (proposed structural benchmark for second review).

12. **We are continuing to make progress in customs reforms.** After some delay due to the need to bring it in line with international good practice and improve the efficiency of customs collections, the new Customs Act will be submitted to Parliament by November, and it is expected that it will be passed by Parliament by end-year. The pilot project for updating the customs technology platform (ASYCUDA World) is well under way, and we plan to start implementing the new system by end-March 2011 (proposed structural benchmark for second review). Following the successful implementation of this new platform, we expect to establish risk-based inspections, thus increasing the efficiency of customs revenue collection.

13. **We are also undertaking several reforms to improve expenditure efficiency and management.** While there have been some delays in the passage of the Public Procurement Act, procurement reform remains a high priority. We plan to ensure that the Public Procurement Act is passed by end-2010 and the Public Procurement Unit becomes fully functional by end-March 2011 (proposed structural benchmark for the second review). To generate further savings, the Waste Reduction Unit, which is soon to be fully staffed, will be tasked with outlining an action plan to rationalize expenditure in telecommunications, streamline the use and maintenance of vehicles and limit electricity charges by conserving energy. In addition, earlier this year we completed the Public Expenditure and Financial Accountability (PEFA) performance measurement framework. Based on the PEFA and with the assistance of CARTAC, we have finalized an Action Plan that includes several measures, including the establishment of a Single Treasury System (proposed structural benchmark for second review), and instituting a comprehensive commitment control system (proposed structural benchmark for third review). We are also working with CARTAC to adopt the new

Chart of Accounts which will improve the transparency of fiscal operations and help us track and identify further areas for saving. We are also committed to reducing the public sector wage bill since it is already one of the highest among in the ECCU and leaves little room to other worthwhile expenditures. Negotiations with the unions are ongoing, and we are proposing no salary increases for 2009 and 2010.

14. **The Debt Management Unit is developing its work program which is aimed at improving debt management and reducing the cost of borrowing.** We have hired an experienced professional to help in this endeavor and staff is undergoing extensive training in DSA preparation and the compilation of a quarterly debt bulletin, eventually to be presented to Cabinet (proposed structural benchmark for third review). The unit expects to complete a first draft of a debt management strategy by end-October 2010, and once the finalized strategy is complete, a borrowing plan is expected to be put in place by end-December 2010 (proposed structural benchmark for the second review).

15. **We plan to further reduce the stock of domestic arrears.** Over the last several months we have successfully reduced the overall stock of unpaid claims from EC\$ 60.8 million (3.5 percent of GDP) at the beginning of the ECF arrangement to EC\$ 44 million (2.5 percent of GDP) at end-June 2010. By the end of this year we plan to reduce these arrears to EC\$ 26.8 million (1.5 percent of GDP). We have also significantly brought down the amount of domestic arrears older than 60 days, from EC\$ 22.7 million (1.3 percent of GDP) to EC\$ 14.3 million (0.8 percent of GDP) during the same period, and although they have crept up recently we are committed to reducing them further to EC\$ 12.5 million (0.8 percent of GDP) by end-2010.

16. **In light of the severe financing constraints we are facing, we have received increased budgetary support from our multilateral donors.** In addition to the grants mentioned above, multilateral financial institutions have provided resources to help us tide over difficult times. The World Bank provided US\$ 8 million under the Development Policy Loan (DPL) and the Caribbean Development Bank provided US\$ 6.4 million in a first tranche under the Policy Based Loan (PBL) with a second similarly-sized disbursement of US\$6.4 million expected by end-2010. The European Union has also provided € 2.8 million in budgetary support. This support, together with the support under the previous and current ECF-supported programs from the International Monetary Fund have provided much-needed resources for the budget and helped to ease the fiscal adjustment during the crisis. The disbursement of additional funds from the IMF on completion of this review will also help us meet some of our budget obligations.

17. **We have applied for a concessional loan from the Export-Import Bank of China to build a luxury hotel in partnership with private investors, though we are fully cognizant of the downside risks.** While this project could generate substantial economic benefits by creating employment and boosting Grenada's tourism potential over the medium and long term, we are fully aware of the downside risks given the uncertainty of a speedy

global recovery and the associated sluggish recovery in tourism demand this may entail. We will, therefore, consult with an internationally reputed third party for an objective assessment of the economic and financial returns of such a project before we agree to a public-private partnership. We will also ensure that the majority ownership rests with the private sector. In consultation with Fund staff, we will update our debt sustainability analysis (DSA) to examine the implications of such borrowing on our debt vulnerability and ensure that we keep our commitment to reducing debt in line with ECCB guidelines.

18. **We intend to approach the Paris Club to request additional debt relief (2.4 percent of total debt).** Debt service (in percent of revenues) has doubled since 2006, when we received a flow rescheduling of our debt from the Paris Club following the devastating hurricanes. That rescheduling allowed us to negotiate comparable terms with most of our creditors and provided much relief. We are continuing our best efforts to reach agreement with the remaining creditors—Russian Federation and Taiwan, Province of China—to which we have put forward a rescheduling proposal. The Great Recession has hit us hard, growth has declined and unemployment is rising. Despite these unprecedented economic challenges, we have established a track record of successful fiscal consolidation and engagement with the IMF under the previous and current ECF arrangements. A reduction in debt service will provide us some fiscal space to counteract the negative impact of this shock. Therefore, we intend to approach the Paris Club for a rescheduling of our debt and then seek comparable treatment from all other external creditors.

B. Reducing vulnerabilities in the financial system

19. **The collapse of the Trinidad and Tobago-based CL Financial Group represents a major challenge to financial system stability.** BAICO is estimated to have a negative net worth of some EC\$ 0.8 billion (6 percent of ECCU GDP) in the ECCU. There are no estimates available for CLICO at this point. Last year judicial managers for the British American Insurance Company (BAICO) reported that the company was insolvent and recommended the creation of a new company to take over its ECCU operations. A ministerial sub-committee is working with interested strategic partners to set up a new company. While uncertainty remains about the contribution of Trinidad and Tobago, we are continuing to make efforts to resolve this issue as expeditiously as possible.

20. **We will continue our best efforts, through the regional solution, to set limits on fiscal costs.** While it is almost certain that ECCU governments will need to inject capital, we together with our regional partners, will try to limit the fiscal costs through revision of existing terms, including lowering of interest rates, extending tenors, and converting some liabilities into equity.

21. **The government is continuing its effort to improve the supervision of the nonbank financial sector.** Last year we passed a new Money Services Act and a new Insurance Act to enhance GARFIN's supervisory powers. A new Cooperatives Society Act

has been submitted to parliament and is expected to be enacted by early 2011. To further strengthen the nonbank financial sector, we intend to:

- Complete on-site inspection of two additional insurance companies by end-March 2011, including one that is systemically important (structural benchmark for second review). We are also continuing to closely monitor all insurance companies through periodic off-site inspection.
- Complete the on-site inspection of the two money services companies operating in Grenada (structural benchmark for second review).
- Conduct off-site and on-site supervision of credit unions and building societies, including closely monitoring the effects of the expected write-offs of the sector's estimated exposure to CLICO:
- Strengthening the framework for Anti-Money Laundering and Combating the Financing of Terrorism (AML/CFT).
- Continue to build the capacity of GARFIN through participation of our staff in regional training initiatives.

22. **We will proceed directly to liquidation of Capital Bank as soon as the court permits.** We petitioned the High Court for the liquidation of Capital Bank in November 2008, but the liquidation has been delayed because of challenges by the bank's owner. The liquidation will proceed as soon as Court permission is granted. We do not expect to take on any associated fiscal costs.

23. **We are continuing our efforts to comply with an internationally agreed standard aimed at reducing tax evasion in international financial centers.** Even though the international financial sector in Grenada is very small, we have concluded 13 Tax Information Exchange Agreements (TIEAs) so far, which is above the 12 required for removal from the OECD "gray list", and are aiming to sign two additional TIEAs by end-2010.

C. Generating high and sustainable growth and reducing poverty

24. **The private sector remains key to sustainable growth, but to enhance its economic contribution much remains to be done.** Progress to date includes a reduction in the number of days it takes to start a business from 20 to 11 days. In addition, simplified procedures for property registration and the establishment of a separate land registry have been put in place during the last year. Contract enforcement is expected to be improved by the appointment of an additional judge to assist with the backlog of court cases.

25. **We are instituting several reforms to our social safety net program to ensure that we effectively target the most vulnerable.** We have set up a social safety net committee to spearhead reform efforts and elaborate an action plan for reform based on the 2009 UN/WB report on Social Safety Net. We aim to have a social protection policy in place by mid-2011. By end-2011 we also expect to complete the following with the assistance of the World Bank:

- Consolidate cash transfer programs, while enhancing our ability to monitor them;
- Establish an integrated cash grant unit, and;
- Develop selection criteria for beneficiaries and effective functional targeting mechanisms.

26. **We are preparing a full Poverty Reduction Strategy Paper (PRSP).** The Country Poverty Assessment in combination with the National Strategic Development Plan will form the basis of the PRSP, which is being developed with the help of CDB-funded consultants. We hope to have a draft PRSP by end-2010 and start the stakeholder consultation process soon thereafter. We intend to integrate the costed programs starting with the 2012 budget.

27. **Given our strong commitment to poverty reduction in these challenging economic times, we are stepping up our ability to monitor social spending.** We will put in place a quarterly indicator of social spending, to ensure that we do not shortchange vulnerable groups. The indicator will encompass spending on the three major cash transfer programs, which constitute the bulk of social spending. Once the PRSP is in place in 2011, we will revise this indicator to reflect priority spending areas and make it an indicative target for the program.

IV. OTHER ISSUES

A. Program Monitoring

28. **We will continue to closely monitor economic developments and program performance.** Two Ministry of Finance officials have been designated to coordinate and monitor the macroeconomic and structural program targets. We will continue to conduct monthly monitoring of domestic arrears and below-the-line financing of the central government's overall balance. We will also work closely with the ECCB and commercial banks to reconcile data on bank lending to the government on a monthly basis. The performance criteria for end-December 2010 and end-June 2011 and indicative target for end-March 2011 are specified in Table 1 and further specified in the Technical Memorandum of Understanding. Structural benchmarks for the second and third reviews are specified in Table 2. We anticipate that the second review would take place in May 2011 and the third review in November 2011.

B. Reducing Natural Disaster Vulnerabilities

29. **We will continue to actively participate in regional initiatives to pool climate risks.** Since 2007, we have participated in the World Bank's Caribbean Catastrophic Risk Insurance Facility (CCRIF), the world's first ever multi-country catastrophe insurance pool.

C. Fiscal transparency

30. **We are continuing our efforts to improve fiscal transparency.** We began disseminating to the public quarterly information (with a one-quarter lag) on the overall fiscal situation and gross financing needs of the central government from end-2009. We intend to publish financial information for the statutory bodies starting end-2010. In line with the new Public Finance Management Act of 2007, public enterprises are expected to submit audited financial statements within four months from the end of the financial year. They are also required to submit annual business plans within four months of the start of the next financial year. While compliance has been improving, and audited results for some SOEs are being presented to parliament, we plan to formalize regular reporting by all SOEs, especially on some critical indicators, so that at a minimum we are alerted about the stemming risks, both to and from this sector. We will continue to publish newly granted or extended tax concessions on a quarterly basis.

Table 1. Grenada: Quantitative Performance Criteria and Indicative Targets, 2010-11

	2010						2011	
	End-Mar.		End-June		End-Sept.	End-Dec.	End-Mar.	End-June
	Prog. 1/	Est.	Prog.	Adjusted	Est.	Prog. 1/	Prog.	Prog. 1/
(In millions of Eastern Caribbean dollars)								
<i>Performance Criteria:</i>								
Central government primary balance excluding grants (floor) 2/ 3/	-11.7	-38.1	-34.8	-47.9	-40.5	-50.7	-65.7	-14.0
Stock of central government domestic arrears (ceiling)	20.0	24.9	15.0	15.0	14.3	12.5	12.5	10.0
(In millions of U.S. dollars)								
Contracting and guaranteeing of nonconcessional external debt by the central government with maturity of at least one year (ceiling) 2/	0.0	0.0	0.0	0.0	0.0	0.0	18.5	0.0
Contracting and guaranteeing of bilateral concessional external debt by the central government with maturity of at least one year (ceiling) 2/ 4/	11.9	0.0	11.9	11.9	0.0	11.9	11.9	13.3
Stock of external short term debt (ceiling) 5/	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Central government or guaranteed external arrears accumulation (ceiling) 5/	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Indicative Target:</i>								
(In millions of Eastern Caribbean dollars)								
Change in net credit of the banking system to the public sector (ceiling) 2/ 3/	6.8	26.4	13.5	13.5	-11.6	20.3	27.0	-9.9

1/ Indicative target.

2/ Cumulative within each calendar year.

3/ See the TMU and supplementary TMU for a description of adjusters.

4/ Excludes PetroCaribe.

5/ To be monitored on a continuous basis.

Table 2. Grenada: Proposed Structural Measures for the Second and Third Review under the ECF Arrangement

	Comment	Target Date	Status	Macroeconomic Criticality
First Review				
Initiate quarterly budget reviews and revise spending targets for any shortfalls in revenues and/or financing, and institute regular meetings with line ministries (at least quarterly) to establish expenditure commitment controls	Structural Benchmark	End-April 2010	Met	To avoid overruns in spending and reduce expenditure arrears
Establish an audit division for VAT audits	Structural Benchmark	End-June 2010	Met	To enhance efficiency of revenue collection
Enumerate all government bank accounts and define a schedule for consolidating them and establishing a Single Treasury Account System	Structural Benchmark	End-September 2010	Met	To avoid overruns in spending and reduce expenditure arrears
Complete onsite supervision of at least two insurance companies, and establish statutory funds at insurance companies to cover at least 50 percent of their assets (including the largest five companies) and pledge these assets in a Trusteeship to support their local insurance liabilities	Structural Benchmark	End-October 2010	Met	To safeguard the stability of the financial sector
Second Review				
Continue quarterly budget reviews	Structural Benchmark			To avoid overruns in spending and reduce expenditure arrears
Pass amended VAT Law to reflect all permanent and temporary changes since its passage, including the expiration date for the temporary tax exemptions	Structural Benchmark	End-January 2011		To establish a legal basis for modifications to the law and to prevent undermining revenue collection
Prepare debt management strategy outlining clear debt management objectives, and develop yearly borrowing plan	Structural Benchmark	End-December 2010		To improve debt management
Implement ASYCUDA World pilot at the main port, and establish a risk management unit in customs and excise department and start training staff	Structural Benchmark	End-March 2011		To modernize customs and improve revenue collection
Make Public Procurement Unit fully functional	Structural Benchmark	End-March 2011		To ensure the efficiency of sending
Complete onsite inspection of two additional insurance companies, including one that is systemically important	Structural Benchmark	End-March 2011		To safeguard the stability of the financial sector
Complete onsite inspection of the money service company	Structural Benchmark	End-March 2011		To safeguard the stability of the financial sector
Third Review				
Integrate all public debt data, including guarantees, in CS-DRMS, the Commonwealth Secretariat's debt recording system, and produce a quarterly debt bulletin to be presented to Cabinet.	Structural Benchmark	End-August 2010		To improve debt management
Institute a comprehensive commitment control system that will restrict spending units from undertaking commitments without authorization	Structural Benchmark	End-August 2011		To avoid overruns in spending and reduce expenditure arrears
[Implement ASYCUDA World at two other ports and begin risk-based inspections]	Structural Benchmark	End-October 2011		Increase the efficiency of customs revenue collection

Attachment III. Technical Memorandum of Understanding

1. This Technical Memorandum of Understanding (TMU) sets out (i) the definitions of quantitative performance criteria and indicative targets as specified in Table 1 of the Memorandum of Economic and Financial Policies that will be used to assess Grenada's performance under the Extended Credit Facility (ECF), and (ii) related reporting requirements to the Fund's Western Hemisphere Department (Table 3).

I. QUANTITATIVE PERFORMANCE CRITERIA

2. Quantitative performance criteria are proposed for December 31, 2010 and June 30, 2010 with indicative targets for March 31, 2011 with respect to:

- a. the primary balance excluding grants of the central government;
- b. stock of central government domestic arrears older than 60 days;
- c. nonconcessional medium- and long-term¹ external debt² contracted or guaranteed by the central government; and
- d. official bilateral concessional medium- and long-term external debt contracted or guaranteed by the central government, excluding PetroCaribe-related debt.

3. The following quantitative performance criteria are proposed for monitoring on a continuous basis:

- a. stock of short-term external debt³ contracted or guaranteed by the central government;
- b. stock of central government and guaranteed external payment arrears to official creditors.

4. Indicative targets are proposed for March 31, and June 30, 2011, with respect to net credit of the banking system to the public sector.

¹ Medium- and long-term debt indicates debt with an original maturity of at least one year.

² External debt is defined as all debt owed to creditors residing outside of Grenada, while domestic debt covers all debt owed to residents of Grenada. For ease of monitoring, all debt issued at the Regional Government Securities Market (RGSM), *irrespective of who holds it*, will be regarded as domestic debt.

³ Short-term debt indicates debt with an original maturity of less than one year.

II. PERFORMANCE CRITERION ON THE PRIMARY BALANCE EXCLUDING GRANTS OF THE CENTRAL GOVERNMENT

5. The **central government primary balance excluding grants** covers the activities specified in the budget using above-the-line items. Expenditure will include out-of-budget transfers to nonfinancial public enterprises.

6. However, for program purposes, the primary balance excluding grants will be measured from the financing side as the sum of the (i) net domestic financing (ii) net external financing and (iii) domestic and external interest payments on a due basis less (iv) grants (see Table 2 for the detailed list), where:

- **Net domestic financing** of the central government is the sum of (a) net domestic bank financing, (b) net nonbank financing, (c) change in the stock of domestic arrears of the central government, (d) gross receipts from divestment and (e) any exceptional financing, where:
 - a. **net domestic bank financing** will be measured by the change in the domestic banking system credit to the central government minus government deposits in the banking system, as reported by the consolidated balance sheet of the monetary authorities⁴ and commercial banks. Domestic banking system credit to the central government is defined as the sum of ECCB and commercial banks' financing to the central government. ECCB financing is comprised of treasury bills, debentures, temporary advances and other claims while commercial banks' financing is in the form of loans and advances, treasury bills, and other securities.
 - b. **net nonbank financing** will be measured by the net changes in holdings of government securities by nonbanks, and net borrowing from nonbank institutions;⁵
 - c. **the change in the stock of domestic expenditure arrears** of the central government will be measured as net changes in unpaid checks issued, unprocessed claims, pending invoices, plus accrued interest payments, arrears

⁴ Consolidating the ECCB's balance sheet (excluding the government's IMF operating account) and the government's transactions with the IMF.

⁵ Treasury bills will be recorded at face value, except for those held by the banking system which will be recorded on a purchase price basis.

to the oil companies resulting from the fuel price subsidization arrangement, and other forms of expenditures recorded above the line but not paid;

d. **gross receipts from divestment** are defined as proceeds received from any privatization/divestment; and

e. **any exceptional financing** (including rescheduled principal and interest).

• **Net external financing** of the central government is defined as the sum of:

a. net disbursements of project and budget support loans, including securitization;

b. net proceeds from issuance of external debt, other than the Treasury bills and bonds issued on the RGSM;

c. any exceptional financing (including rescheduled principal and interest);

d. net changes in the stock of short-term external debt;

e. any change in arrears on external interest payments and other forms of external expenditures recorded above the line but not paid; and

f. decrease in cash deposits held outside the domestic banking system.

7. The following **adjustors** will apply to the target for the primary balance excluding grants of the central government:

a. If grants exceed the programmed amounts, as specified in Table 1, the target will be adjusted downward⁶ accordingly to accommodate the additional grants;

b. If grants fall short of programmed amounts, as specified in Table 1, the target will be adjusted upward by the difference up to a limit of EC\$16 million from end-June to end-December;

c. If concessional financing from external creditors, excluding the IMF, PetroCaribe, and project related financing covered in (d) below, exceeds programmed amounts, as specified in Table 1, the target will be adjusted downward accordingly to accommodate the additional concessional financing, with a maximum adjustment of up to EC\$34 million; and

⁶ Downward adjustment means a higher deficit; upward implies a lower deficit.

- d. If project-related external financing exceeds the programmed amounts, as specified in Table 1, under already contracted loans, the target will be adjusted downward accordingly to accommodate the additional financing.

Table 1: Programmed Disbursements of Grants and Concessional and Project Loans in 2010 and 2011

(In millions of Eastern Caribbean dollars)

	2010		2011	
	Q3	Q4	Q1	Q2
Grants	53.1	84.4	17.2	25.9
Concessional Loans (excl. project financing)	21.6	38.9	0.0	0.0
Disbursements of already contracted project loans	11.4	14.7	12.3	24.9

Sources: Grenadian authorities; Fund staff estimates.

Note: Values presented are cumulative

III. PERFORMANCE CRITERION ON THE STOCK OF CENTRAL GOVERNMENT ARREARS TO DOMESTIC PRIVATE PARTIES AND PUBLIC ENTERPRISES OLDER THAN 60 DAYS

8. **Net changes in central government arrears to domestic private parties and public enterprises** is defined as the sum of all pending payments by the central government for goods and services purchased from these parties, as well as pending interest and amortization payments on domestic debt, that have been outstanding for 60 days or longer. It also includes changes in arrears to the oil companies, which have resulted from the fuel price subsidization arrangement. The definition of domestic payment arrears excludes (i) debt claims that were irrevocably tendered in the debt exchange closed on November 15, 2005 (“the debt exchange”), and (ii) debt claims that were eligible to participate in the debt exchange but have not been tendered.⁷

IV. PERFORMANCE CRITERION ON NONCONCESSIONAL MEDIUM- AND LONG-TERM EXTERNAL DEBT CONTRACTED OR GUARANTEED BY THE CENTRAL GOVERNMENT

9. The ceiling on nonconcessional medium- and long-term external debt will be applied to contracting or guaranteeing of debt by the central government. The contracting and guaranteeing of debt will be monitored and reported to the Fund staff by the Debt Management Unit and the Accountant General’s office on a monthly basis.

⁷ These include pre-2005 debt held by the Ports Authority and National Insurance Scheme.

10. This performance criterion applies not only to debt as defined in point No. 9 of the “Guidelines on Performance Criteria with Respect to External Debt in Fund Arrangements” adopted by the Decision No. 14416-(09/91) of the Executive Board of the IMF, as amended effective December 1, 2009 but also to commitments contracted or guaranteed for which value has not been received:

(a) For the purpose of this guideline, the term “debt” will be understood to mean a current, i.e., not contingent, liability, created under a contractual arrangement through the provision of value in the form of assets (including currency) or services, and which requires the obligor to make one or more payments in the form of assets (including currency) or services, at some future point(s) in time; these payments will discharge the principal and/or interest liabilities incurred under the contract. Debts can take a number of forms, the primary ones being as follows:

(i) loans, i.e., advances of money to obligor by the lender made on the basis of an undertaking that the obligor will repay the funds in the future (including deposits, bonds, debentures, commercial loans, and buyers’ credits) and temporary exchanges of assets that are equivalent to fully collateralized loans under which the obligor is required to repay the funds, and usually pay interest, by repurchasing the collateral from the buyer in the future (such as repurchase agreements and official swap arrangements);

(ii) suppliers’ credits, i.e., contracts where the supplier permits the obligor to defer payments until sometime after the date on which the goods are delivered or services are provided; and

(iii) leases, i.e., arrangements under which property is provided which the lessee has the right to use for one or more specified period(s) of time that are usually shorter than the total expected service life of the property, while the lessor retains the title to the property. For the purpose of the guideline, the debt is the present value (at the inception of the lease) of all lease payments expected to be made during the period of the agreement excluding those payments that cover the operation, repair or maintenance of the property.

(b) Under the definition of debt set out in point 10(a) above, arrears, penalties, and judicially awarded damages arising from the failure to make payment under a contractual obligation that constitutes debt are debt. Failure to make payment on an obligation that is not considered debt under this definition (e.g., payment on delivery) will not give rise to debt.”

11. Excluded from the ceiling are credits extended by the IMF, PetroCaribe and credits on concessional terms.

12. Concessional terms are defined as terms implying a grant element (in net present value relative to face value) of more than 35 percent, based on the currency- and maturity-specific Commercial Interest Reference Rates (CIRR), published monthly by the OECD.⁸ For the purposes of the program the most recent CIRRs published by the OECD will be used to assess the concessional nature of loans.

V. PERFORMANCE CRITERION ON OFFICIAL BILATERAL CONCESSIONAL MEDIUM- AND LONG-TERM EXTERNAL DEBT CONTRACTED OR GUARANTEED BY THE CENTRAL GOVERNMENT

13. With the definitions given in Section IV, there will be a ceiling on the contracting or guaranteeing of official concessional bilateral medium- and long-term debt, excluding PetroCaribe-related debt.

VI. PERFORMANCE CRITERION ON THE STOCK OF SHORT-TERM EXTERNAL DEBT CONTRACTED OR GUARANTEED BY THE CENTRAL GOVERNMENT

14. The **short-term external debt** is defined in point No. 9 of the “Guidelines on Performance Criteria with Respect to External Debt in Fund Arrangements” adopted by the Decision No. 6230-(79/140) of the Executive Board of the IMF, as amended effective December 1, 2009 (see paragraph 10 above).

15. Import-related credit and pre-export financing secured on export contracts of less than one year maturity, are excluded from the performance criterion on short-term external debt.

16. The ceiling on short-term external debt will be applied on a continuous basis to the stock of short-term external debt contracted or guaranteed by the central government.

VII. PERFORMANCE CRITERION ON THE STOCK OF CENTRAL GOVERNMENT AND CENTRAL GOVERNMENT GUARANTEED EXTERNAL PAYMENT ARREARS TO OFFICIAL CREDITORS

17. **Central government and central government guaranteed external payment arrears** to official creditors are defined as overdue payments (principal or interest) after the expiration of the applicable grace period on debt contracted or guaranteed by the central government. The definition of external payment arrears under the program excludes: (i) debt claims that were irrevocably tendered in the debt exchange, (ii) debt claims that were eligible

⁸ For loans with a maturity of at least 15 years, the 10-year average commercial interest reference rates and for loans with shorter maturities, the six-month average CIRRs published by the OECD will be used as the discount rates. To both the 10-year and 6-month averages, the following margins for differing repayment periods will be added: 0.75 percent for repayment periods of less than 15 years; 1 percent for 15–19 years; 1.15 percent for 20–29 years; and 1.25 percent for 30 years or more.

to participate in the debt exchange but have not been tendered, and (ii) debt claims of official bilateral creditors, including Paris Club creditors, which are under rescheduling or refinancing negotiation.

18. No external payment arrears of the central government and central government guaranteed debt will be allowed in the program. This ceiling will be monitored on a continuous basis.

VIII. INDICATIVE TARGET ON THE NET CREDIT OF THE BANKING SYSTEM TO THE PUBLIC SECTOR

19. The **public sector** is defined as the total of the central government and all public enterprises.⁹

20. **Net credit of the banking system** is measured as the change in credit of the domestic banking system to the public sector net of deposits, as reported by the consolidated balance sheet of the monetary authorities and commercial banks.

21. The change in the net credit of the banking system to the public sector as of the date for the quantitative performance criterion or benchmark is defined as the difference between the stock on the date indicated and the stock on December 31, 2009 up to and including December 31, 2010 and as the difference between the stock on the date indicated and the stock on December 31, 2010 for all dates that fall in 2011.

22. The ceiling on net credit of the banking system will be adjusted upward¹⁰ to the extent that grants fall short of programmed amounts up to a limit of EC\$16 million from end-June to end-December, as specified in Table 1.

IX. PERIODIC REPORTING

23. The following data must be reported to the Fund's Western Hemisphere Department on a **monthly basis** for monitoring the program's performance criteria and indicative targets within the end of the third week of the following month:

⁹ Excluded are the Banana, Cocoa, and Nutmeg Associations and the Minor Spices Co-operative Society as these are cooperative entities owned largely by private sector shareholders.

¹⁰ Upward adjustment means higher net domestic credit to the government.

Fiscal sector

- a. Central government budgetary accounts;
- b. Central government domestic debt;
- c. Current grant inflows;
- d. Stock of domestic arrears as on the last day of the month, including unpaid checks issued, stock of unprocessed claims due and invoices pending, arrears to the oil companies, and interest and amortization on domestic debt;
- e. Capital expenditure, including revised projections for the remainder of the fiscal year; and
- f. Complementing to this monthly report, a detailed overview of expenditures on a project by project basis and the composition of financing will be provided on a quarterly basis within six weeks following the end of the quarter.

Financial sector

- a. Monetary survey for Grenada as prepared by the Eastern Caribbean Central Bank.

External and real sectors

- b. Detailed (creditor by creditor) external debt report from the Debt Management Unit in the Ministry of Finance, showing fiscal year-to-date disbursements, amortization, interest payments, and outstanding stocks, for the central government and public enterprises;
- c. Total disbursements/grant receipts, disaggregated into: (a) budgetary support (by type—either loans or external “bonds” and/or other securities); (b) project loans; (c) budgetary grants; and (d) project grants;
- d. Copies of loan agreements for any new loans contracted or guaranteed, including financing involving the issue of government paper, and of any renegotiated agreements on existing loans;
- e. Stock of external arrears (creditor-by-creditor); and
- f. Consumer price index.

All such information will be provided to Fund staff, to the extent possible, within three weeks of the end of each month, except monetary survey which will be delivered by the ECCB to Fund staff within two months.

24. The following data will be reported on an **annual basis** within three months following the end of the year:

Fiscal sector

Financial statements of the public enterprises

External and real sectors

- a. National accounts; and
- b. Balance of payments accounts.

25. **Other reporting:** Reports of legislative changes pertaining to economic matters.

Table 2. The Primary Balance excluding Grants
(calculated from below the line)

Domestic Financing	$a = b + e + f + g + h + i$
Net domestic bank financing (excluding securities)	$b = c + d$
ECCB	$c = c1 + c2 + c3 - c4$
Debentures	c1
Temporary advances	c2
Other claims	c3
Government deposits	c4
Commercial Banks	$d = d1 - d2$
Loans and advances	d1
Government deposits	d2
Securities 1/	e
Net borrowing from nonbank institutions	f
Change in the stock of domestic arrears	$g = g1 + g2 + g3 + g4 + g5$
Fuel importers 2/	g1
Unprocessed claims and unpaid invoices	g2
Interest arrears to domestic creditors 3/	g3
National Insurance Scheme	g4
Utilities	g5
Gross receipts from divestment (including land sales)	h
Any exceptional financing	i
External financing	$j = k + l + m + n + o + p$
External loans	$k = k1 + k2$
Disbursements	k1
Amortization	k2
Net proceeds from issuance of external debt	l
Exceptional financing	m
Decrease in deposits outside the domestic banking system 4/	n
Net changes in short-term external debt	o
External arrears	$p = p1 + p2$
Interest arrears to external creditors 3/	p1
Other forms of external expenditure arrears	p2
Overall balance including grants	$q = a + j$
Interest payments	r
Primary balance including grants	$s = q + r$
Grants	t
Primary balance excluding grants	$u = s - t$

1/ Net changes in holdings of government securities by the ECCB and commercial banks.

2/ Once the government and fuel importers agreed on amount.

3/ Interest arrears to nonparticipating creditors in the debt exchange.

4/ Sinking fund deposits.

Table 3. Summary of Data To Be Reported

Information	Frequency	Reporting Deadline	Responsible Entity
Primary balance of central government excluding grants:			
Net domestic bank financing (ECCB and commercial banks)	Monthly	Six weeks after the end of the month	ECCB
ECCB special tranches	Monthly	Same as above	ECCB
Securities	Monthly	15 days after end of the month	Debt Management Unit (DMU)
Net borrowing from nonbank institutions	Monthly	Same as above	DMU
Change in stock of domestic arrears	Monthly		
Unpaid claims	Monthly	Last day of the month	Account General's Office (AG)
Interest arrears to domestic creditors	Monthly	Same as above	AG
Gross receipts from divestment (including land sales)	Monthly	15 days after end of the month	Budget Office (BO)
Exceptional domestic financing	Monthly	Same as above	DMU
External disbursements	Monthly	Same as above	DMU
External Amortization	Monthly	Same as above	DMU
Proceeds from bonds issued abroad	Monthly	Same as above	DMU
Exceptional external financing	Monthly	Same as above	DMU
Deposits outside the domestic banking system	Monthly	Same as above	DMU
Net changes in short-term external debt	Monthly	Same as above	DMU
Arrears on external interest	Monthly	Same as above	DMU
Interest payments	Monthly	Same as above	DMU
Grants	Monthly	Same as above	BO
Net credit of the banking system to the public sector:			
Net claims on government (ECCB net credit to central government, commercial banks net credit to central government)	Monthly	Six weeks after the end of the month	ECCB
Net credit to NIS	Monthly	Same as above	ECCB
Net credit to other public sector	Monthly	Same as above	ECCB
Central government arrears accumulation to domestic private parties and public enterprises outstanding for 60 days or longer:			
Unpaid claims	Monthly	Last day of the month	AG
Principal arrears	Monthly	Same as above	AG
External Arrears	Monthly	Same as above	DMU

Table 3. Summary of Data To Be Reported (Cont'd.)

Information	Frequency	Reporting Deadline	Responsible Entity
Creditor by creditor disbursements	Quarterly	15 days after end of the quarter	DMU
Creditor by creditor amortization	Quarterly	Same as above	DMU
Creditor by creditor interest payments	Quarterly	Same as above	DMU
Creditor by creditor outstanding debt stocks	Quarterly	Same as above	DMU
Net changes in the outstanding stock of short-term external debt with original maturity of less than one year contracted or guaranteed by the central governments:			
Creditor by creditor disbursements	Quarterly	Same as above	DMU
Creditor by creditor amortization	Quarterly	Same as above	DMU
Creditor by creditor interest payments	Quarterly	Same as above	DMU
Creditor by creditor outstanding debt stocks	Quarterly	Same as above	DMU
Bilateral concessional debt with an original maturity of at least one year contracted or guaranteed by the central government:			
Creditor by creditor disbursements	Quarterly	15 days after end of the quarter	DMU
Creditor by creditor amortization	Quarterly	Same as above	DMU
Creditor by creditor interest payments	Quarterly	Same as above	DMU
Creditor by creditor outstanding debt stocks	Quarterly	Same as above	DMU
VIII. Nonaccumulation of central government and central government guaranteed external payment arrears:			
Creditor by creditor stock of arrears	Quarterly	Same as above	DMU